

**RESTRICTIONS ON CROSS-BORDER
MARKETING AND SELLING OF
FUNDS AND INVESTMENT MANAGEMENT & ADVISORY SERVICES
INTO
INDIA
PART B
5 June 2026**

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1. BACKGROUND

1.1 Introduction

Please refer to the *Instructions to Counsel* that you have been sent in conjunction with this Part B of the Memorandum.

1.2 Structure of Part B

The questions in Part B of the Memorandum are set out in sections 3 to 11. These sections comprise the **Part B Memorandum Subject Matter**.

1.3 Definitions

Active Marketing	Marketing activities which extend beyond Passive Marketing.
Arranging	Making arrangements for another person to buy, sell or subscribe for a Fund or Investment Management & Advisory Services or passing execution instructions to a third party.
Closed-Ended Fund	A Fund with a fixed number of units or shares which does not offer an investor the opportunity to regularly purchase or sell its units or shares.
cross-border	Where: (a) clients, or prospective clients, are located in your jurisdiction; (b) the OFI is headquartered in a jurisdiction different to your own and either has no licensed office in your jurisdiction or is not carrying out the marketing or selling through any licensed office in your jurisdiction; and (c) employees of the OFI are based in a different jurisdiction to your own and are employed by an entity within the OFI group which is headquartered in a different jurisdiction to your own.
Execution of Orders on Behalf of Clients	Agreeing to conclude agreements to buy or sell one or more financial instruments on behalf of clients.
Fly-In Meeting	Employees of the OFI flying into your jurisdiction to carry out marketing activities.
Fly-Out Meeting	Marketing activities which take place offshore and which are directed at a person who is normally resident in your jurisdiction.
Fund	A collective investment undertaking, with or without legal personality, which raises capital from a number of investors with a view to investing it in accordance with a defined investment policy for the benefit of those investors. For the purposes of this Memorandum, local counsel have been instructed to assume that all Funds are offshore.

Investment Advice	The provision of personal recommendations to a client, either upon its request or at the initiative of the OFI, in respect of one or more transactions relating to financial instruments.
Investment Management & Advisory Services	Investment Advice, Arranging, Portfolio Management and Execution of Orders on Behalf of Clients.
OFI	A bank, asset manager or other offshore financial institution e.g. distributor, which is marketing or providing financial products or services and is headquartered in a different jurisdiction to your jurisdiction.
Open-Ended Fund	A Fund with or without legal personality which offers an investor the opportunity to regularly purchase or sell its units or shares.
Part B Memorandum Subject Matter	The contents of sections 3 to 11 of Part B of this Memorandum.
Passive Marketing	Marketing or selling following an unsolicited approach by an investor. May also be known as “reverse-enquiry” or “reverse-solicitation”.
Portfolio Management	Managing portfolios in accordance with mandates given by clients on a discretionary client-by-client basis where such portfolios include one or more financial instruments.
Segregated Managed Account	A contractual arrangement between an investment manager and investor where the investment manager makes discretionary investments into financial instruments or assets through an account owned by the investor.
Single Investor Vehicle	A vehicle, which makes investments into financial instruments or assets and which is prevented by national law, the rules or instruments of incorporation, or any other provision or arrangement of binding legal effect, from raising capital from more than one investor.
UCITS Fund	A Fund which qualifies as an undertaking for collective investment in transferable securities under the UCITS IV Directive (2009/65/EC) and which has been authorised as such in an EEA Member State.

1.4 Executive Summary

Funds

An OFI wishing to market/sell an offshore Fund to investors in India needs to consider the Public Offer Rule and the Rule on Collective Investment Schemes. The combined application of these rules means that, in practice, an OFI should restrict itself to Passive Marketing of Funds to certain groups/types of investor only (see below for further detail).

In addition, the OFI should consider the Presence in India Rule and the RBI Place of Business Rules.

(a) Presence in India Rule and RBI Place of Business Rules

An OFI that conducts marketing/selling activities by Electronic Mode in India or conducts any business activity in person in India may trigger the Presence in India Rule. The Presence in India Rule is not triggered where marketing materials are delivered by means of physical delivery (e.g. post) rather than electronically or the marketing takes place at a Fly-Out Meeting. Regarding other types of marketing/selling activities, compliance with the Presence in India Rule is recommended where such activities are Frequent. Conversely, if the OFI limits its engagement with Indian clients to occasional contact e.g. Infrequent Fly-In Meetings/email contact and potentially, Infrequent telephone marketing, and the Indian Exchange Control Regulations are complied with, local counsel consider that the Indian regulators are unlikely to consider that the Presence in India Rule has been triggered.

Where the OFI's marketing/selling activities trigger the Presence in India Rule, the OFI will need to comply with the RoC Registration Requirement unless exempted by an order in this respect issued by the Government of India (**GoI**). At present, there are no exemptions or exclusions from the RoC Registration Requirement available to an OFI where the rule is triggered.

In addition, if the marketing/selling involves or requires the setting up of a place of business in India, the OFI may require approval from the Reserve Bank of India (**RBI**) under the RBI Place of Business Rules (unless this step has already been undertaken in connection with the requirements of the RoC Registration Requirement). As a general rule, the RBI Place of Business Rules will not be triggered so long as the OFI structures its marketing activities so as to avoid triggering the Presence in India Rule.

(b) Public Offer Rule and Rule on Collective Investment Schemes

An OFI should avoid triggering the Rule on Collective Investment Schemes provided the Conditions for Permitted Private Placement of CIS are complied with. In practice these conditions limit an OFI to Passive Marketing and sale of Funds (i.e. responding to reverse enquires) to Permitted Investors.

An OFI should also avoid triggering the Public Offer Rule provided its activities are structured to avoid triggering the Presence in India Rule, Exchange Control Restrictions are complied with and a prospectus is not issued to the larger public in India.

(c) Other restrictions/requirements

An OFI wishing to market/sell a Fund in India should also note that Exchange Control Restrictions apply. In addition, unsolicited Telephone Marketing may trigger additional requirements under the TRAI Regulations. Please refer to section 8 of this Memorandum for more details.

Further, the OFI should also ensure that its activities do not include *marketing* or *provision* of Regulated IA Services, acting as a Research Analyst/Research Entity or holding itself out as a Research Analyst (which includes marketing/provision of Regulated Research Services) or *provision* of Regulated Services to the Client as these may trigger the SEBI Registration Requirement (although note that services relating to Offshore Funds are unlikely to trigger this requirement).

Investment Management & Advisory Services (IMAS)**(a) Presence in India Rule and RBI Place of Business Rules**

Marketing (whether Active or Passive) and provision of IMAS by an OFI to investors in India may be caught by the Presence in India Rule and the RBI Place of Business Rules. See discussion above.

In addition, where the Presence in India Rule is triggered in relation to provision of IMAS (and also marketing in the case of Regulated IA Services and Regulated Research Services), compliance with the RoC Registration Requirement is not sufficient and full compliance with the SEBI Registration Requirement will apply as well.

(b) SEBI Registration Requirement

The position regarding when the SEBI Registration Requirement applies differs depending on whether the services comprise Regulated IA Services, Regulated Research Services or Regulated Services.

- (i) *Investment Advice*: No person can market or provide Regulated IA Services in India without registering with the Securities and Exchange Board of India (**SEBI**). Consequently, marketing (whether Active or Passive) and provision of Investment Advice in relation to Domestic Securities (and on a conservative view, in relation to Offshore Securities— as to which see below) in India are caught by the SEBI Registration Requirement.

Marketing (whether Active or Passive) and provision of Investment Advice in relation to Offshore Securities are unlikely to be viewed negatively by Indian regulators. The OFI should ensure that it acts in compliance with Exchange Control Restrictions, avoids triggering the Presence in India Rule and generally conducts its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution of contracts).

The SEBI Registration Requirement is not triggered where the General Advice Exemption or the Widely Available Medium Exception applies.

- (ii) *Regulated Research Services*: No person can act as a Research Analyst or Hold Itself Out as a Research Analyst (which would include the marketing/provision of Regulated Research Services) in India without triggering the SEBI Registration Requirement unless the General Advice Exemption applies.
- (iii) *Regulated Services*: Provision of Regulated Services in relation to Domestic Securities (and on a conservative view, in relation to Offshore Securities) in India is caught by the SEBI Registration Requirement.

Technically and on a conservative view the rules may be wide enough to cover Offshore Securities as well. However, in practice, the provision of any of the services listed under Regulated Services outside India in relation to Offshore Securities falls outside of the scope of the SEBI Registration Requirement and is unlikely to be viewed negatively by Indian regulators. The OFI should ensure that it acts in compliance with Exchange Control Restrictions, avoids triggering the Presence in India Rule, and generally conducts its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution of contracts).

Marketing (whether Active or Passive) of Regulated Services in relation to Domestic and Offshore Securities is permitted in or outside India without compliance with the SEBI Registration Requirement (though the Presence of India Rule may be separately triggered). The OFI must be careful not to be seen as providing a Regulated Service as part of the marketing activity and disclaimers are recommended.

(c) Other restrictions/requirements

An OFI wishing to market/sell IMAS in India should also note that Exchange Control Restrictions apply. In addition, unsolicited Telephone Marketing may trigger additional requirements under the TRAI Regulations. Please refer to section 8 of this Memorandum for more details.

It should also be noted that under the IA Regulations an entity offering Investment Advice is required to have client level segregation at group level for advisory services and distribution/execution services. Accordingly, the same client cannot be offered advisory and distribution/execution services by entities within the same group.

Segregated managed accounts, single investor vehicles and family office undertakings

The Indian legal regime does not specifically deal with such investment structures/investment vehicles. However, generally speaking, the provisions related to Funds discussed above will also apply to marketing/selling any securities/units of such investment structures/investment vehicles. In addition, the provisions related to IMAS discussed above would apply when such services are marketed/provided in respect of one of these such investment structures/investment vehicles.

International Financial Services Centre

This Part B Memorandum relates to the regime in India **not** including the International Financial Services Centre (IFSC) in Gujarat unless otherwise stated. See section 3(a) below for more details on the IFSC.

DEFINED TERMS

For the purposes of this section 1.4, the underlined words in the foregoing Executive Summary have the following meanings:

Accredited Investor

A person or entity that has been granted a certificate of accreditation in accordance with SEBI's AIF Regulations (see link at section 3(c), below).

Certain Compliance Procedures

- The OFI should request and receive from investors evidence that the investor falls within one of the categories of **Permitted Investor**. The OFI should also request proof in respect of any **Accredited Investors**. See section 5(a)(i) for further detail.
- The invitation or offer to subscribe to securities must not result, directly or indirectly, in the securities becoming available for subscription or purchase by persons other than those receiving the document.
- Where a marketing or offering document is distributed to investors individually, the participants in the offering process must ensure that the document is addressed only to the recipient of the distribution and it should prohibit the recipient from announcing or transferring the offer to other persons (see suggested wording at Appendix 1.A).
- Even though the obligation to comply with **Exchange Control Restrictions** falls on the resident Indian purchaser, it is common to obtain a confirmation that these regulations have been complied with. In practice, this confirmation is obtained through a representation included in the legend (see Appendix 1.A).

Collective Investment Schemes Regulations

Securities and Exchange Board of India (Collective Investment Schemes) Regulations, 1999

Conditions for Permitted Private Placement of CIS

Pursuant to the **Rule on Collective Investment Schemes**, it is permitted to sell a Fund via private placement, but the following conditions apply:

- (a) Active Marketing of the Fund in India should be avoided (i.e., activities should be confined to responding to reverse enquiries only);
- (b) Documents distributed should be limited to private offer documents; and
- (c) Subscription in the Fund should be limited to **Permitted Investors**.

Considering SEBI's wide powers to regulate securities market in India and drawing from the regulations applicable to Indian funds, it is also recommended that the OFI complies with the following criteria:

- (i) other than potentially when marketing/selling to an **Accredited Investor** (as to which see below), require a minimum investment by each investor of INR 10,000,000;
- (ii) minimum subscription amount (i.e. the total amount of pooled investments at the point of fund closure) of INR 200,000,000;
- (iii) require a minimum of 20 investors;
- (iv) require that any single investor hold no more than 25 percent of the assets under management; and
- (v) based on a conservative interpretation, limit the total corpus (size) of the Fund to less than INR 1,000,000,000.

When marketing/selling to an Accredited Investor, an OFI could potentially disregard (i), above, and sell/market units in a Fund to the Accredited Investor for an investment amount of less than INR 10,000,000. Such an approach is not a black-letter rule, but a read across of the rules applicable to domestic funds. However, caution is advised as such approach has not been confirmed by as SEBI. Indian regulators are generally considered to have a conservative outlook in terms of administering and enforcing laws.

Having said the above, while on a conservative view the rules underpinning criteria (i)-(v) above may be wide enough to cover **Offshore Securities**, in practice, the risk emanating from not adhering to such criteria in relation to such securities is low. For the avoidance of doubt, an OFI should comply with (a)-(c) of the Conditions for Permitted Private Placement of CIS in full.

Consideration

Any form of economic benefit including non-cash benefit, received or receivable, directly or indirectly, in any form whether from a client or otherwise for providing **Regulated Research Services**.

Domestic

Issued under Indian law or having underlying products issued under Indian law (e.g. Global Depository Receipts).

Electronic Mode

Carrying out through electronic means, whether conducted through e-mail, mobile devices, social media, cloud computing, document management, voice or data transmission or otherwise (regardless of whether servers are installed in India) of:

- (i) business-to-business and business-to-consumer transactions, data interchange and other digital supply transactions;
- (ii) offering to accept deposits or inviting deposits or accepting deposits or subscriptions in securities, in India or from citizens of India;
- (iii) financial settlements, web based marketing, advisory and transactional services, database services and products, supply chain management;
- (iv) online services such as telemarketing, telecommuting, telemedicine, education and information research; and
- (v) all related data communication services.

Exchange Control Restrictions

Participation in Funds by Indian residents will be subject to certain foreign investment and exchange control restrictions. These apply irrespective of the OFI's ability to market/sell a Fund in India. Please refer to section 6.2(b) of the Memorandum for more details.

Frequent / Infrequent

While no guidance is given in relation to what may be deemed to be "frequent", Counsel advises that the regulators are more likely to interpret this term narrowly.

In a different context, the Bar Council of India Rules for Registration and Regulation of Foreign Lawyers and Foreign Law Firms in India, 2022 permits foreign law firms to advise Indian clients on foreign laws/ international laws without requiring such firms to obtain registration with the appropriate authority on a 'fly-in fly-out' basis i.e., if such practice in India is not for more than an aggregate of 60 days in 12 months and in compliance with certain other conditions..

General Advice Exemption

An exemption from the **SEBI Registration Requirement** in respect of **Regulated IA Services** and the service of acting as a **Research Analyst /Research Entity** or **Holding Oneself Out as a Research Analyst** for persons giving general comments in good faith on trends in the financial or securities market where such comments do not specify any particular securities or investment product.

Hold Itself/Oneself Out as a Research Analyst

To the extent that marketing **Regulated Research Services** to Indian clients would result in the OFI holding itself out as a **Research Analyst**, the **SEBI Registration Requirement** would be triggered, unless an exemption applies. The phrase 'hold itself out as a Research Analyst' is not defined, but counsel considers that it generally refers to conduct by which a person presents itself as acting in the capacity of a Research Analyst. This includes undertaking activities that would give an impression to any reasonable person that the entity/individual providing Regulated Research Services is a Research Analyst/Research Entity.

Hence, if the OFI markets its own capabilities with respect to Regulated Research Services, this will trigger the SEBI Registration Requirement. However, if the OFI were to market Regulated Research Services offered by a third-party service provider without holding itself out as the provider of such services, the SEBI Registration Requirement would not be triggered for the OFI (although the SEBI registration or other compliance requirements may apply to the third-party service provider depending on the facts).

Investment Advice / Investment Adviser

Advice relating to investing in, purchasing, selling or otherwise dealing in **Securities** and advice on investment portfolio containing Securities, whether written, oral or through any other means of communication for the benefit of the client including any financial planning services. **Trading Calls** are not considered to be Investment Advice.

An “investment adviser” is defined as any person who is engaged in the business of providing Investment Advice to clients or other persons or groups of persons, for a consideration, and includes any person who holds himself out as an investment adviser by whatever name.

Merchant banker

A merchant banker is defined quite widely under the Indian law as any person who is engaged in the business of issue management either by making arrangements regarding selling, buying or subscribing to securities or acting as manager, consultant, adviser or rendering corporate advisory service in relation to such issue management.

Offshore

Not issued under Indian law or having underlying products issued under Indian law (e.g. Global Depository Receipts).

Permitted Investors

High-net-worth individuals, institutional investors and corporations.

“High net worth individuals” are not defined, however the term generally refers to an individual with substantial investible assets (worth over INR 5 Crore).

“Institutional investors” refers to **Qualified Institutional Buyers** as well as family trust or intermediaries registered with SEBI with net worth of more than five hundred crore rupees, as per the last audited financial statements.

Portfolio Manager

A body corporate, which pursuant to a contract with a client, advises or directs or undertakes on behalf of the client (whether as a discretionary portfolio manager or otherwise) the management or administration of a portfolio of securities or goods or funds of the client, as the case may be.

Presence in India Rule

Every OFI:

- (i) that has a place of business in India, whether by itself or through an agent, physically or through **Electronic Mode**; and
- (ii) conducts any business activity in India in any other manner;

will be caught by the Presence in India Rule and subject to the **RoC Registration Requirement**.

The only exemption that could be relevant to an OFI is the exemption for foreign companies which have listed their securities in International Financial Services Centres in India.

The significance of the Presence in India Rule to an OFI is that even though it may not have a physical place of business in India, it could still be caught by acting through an intermediary (when such intermediary is acting as an agent of the OFI) or by acting cross-border through Electronic-Mode.

The OFI will usually need to register when conducting cross-border activities towards investors in India unless it can structure its activities so as not to trigger the Presence in India Rule. The Presence in India Rule will not be triggered if marketing materials are delivered by means of physical delivery (e.g. by post) rather than electronically or if the marketing takes place at a Fly-Out Meeting.

Indian law does not set out any de-minimis level of business activity that needs to be undertaken in India before the Presence in India Rule is triggered. However, local counsel considers that if the OFI limits its engagement with Indian clients to **Infrequent** contact e.g. Infrequent Fly-In Meetings, occasional email contact and virtual meetings and potentially, Infrequent telephone marketing (and note that the totality of the OFI's activities must not, all taken together, be considered to be **Frequent**), and the Indian **Exchange Control Regulations** are complied with, the Indian regulators are unlikely to consider that the Presence in India Rule has been triggered.

It may be helpful for an OFI to maintain an audit trail relating to its activities in India as evidence that the OFI has avoided triggering the Presence in India Rule.

Public Offer Rule

Any marketing or sale to the public in India of **Securities** (including Funds) is subject to certain registration and disclosure requirements, including disclosure of a prospectus registered with the relevant Registrar of Companies and approved by **SEBI**.

It is, however, possible for an OFI to market/sell a Fund by way of private placement without triggering the Public Offer Rule where:

- (a) the investment complies with the **Exchange Control Restrictions**;
- (b) the OFI's activities are structured to avoid triggering the **Presence in India Rule**; and
- (c) a prospectus is not issued to the larger public in India.

Certain Compliance Procedures should also be implemented.

Qualified Institutional Buyers

Qualified Institutional Buyers include:

- (a) mutual funds, venture capital funds, alternate investment funds and foreign venture capital investors registered with SEBI;
- (b) foreign portfolio investors other than individuals, corporate bodies and family offices;
- (c) public financial institutions;
- (d) scheduled commercial banks;
- (e) multilateral and bilateral development financial institutions;
- (f) state industrial development corporations;
- (g) insurance companies registered with the Insurance Regulatory and Development Authority of India;
- (h) certain provident funds and pension funds (registered with the Pension Fund Regulatory and Development Authority) having a minimum corpus of INR 250 million;
- (i) the National Investment Fund;

- (j) certain government owned insurance funds; and
- (k) systemically important non-banking financial companies.

RBI Place of Business Rules

Marketing/selling activities that trigger the RBI Place of Business Rules require the setting up of a place of business in India. Establishing a place of business in India may require the approval of the Reserve Bank of India (**RBI**).

Counsel advise that the conservative approach of Indian regulators may require that a place of business in India be established in the following circumstances:

- if Fly-In Meetings are conducted with such **Frequency** that the OFI is deemed to have a significant physical presence in India; and
- in the case of Frequent unsolicited telephone marketing, to demonstrate that the OFI is not seeking to circumvent the **TRAI Regulations** applicable to domestic tele-marketing.

In addition, as a matter of process, for a foreign company to register with the Registrar of Companies (**RoC**) under the **Presence in India Rule** under the CA 2013, there is a requirement to submit a copy of the approval with the RBI under the RBI Place of Business Rules. Hence, on the basis of this technicality, it is possible according to certain views that registration pursuant to the Presence in India Rule under the CA 2013 could trigger the approval requirement under the RBI Place of Business Rule.

See sections 6.2(b) and 8.3 of the Memorandum for more details.

Regulated IA Services

Acting as or holding oneself out as an **Investment Adviser** in relation to **Securities**. This includes marketing/provision of **Investment Advice** in relation to **Domestic Securities**.

The marketing/provision of Investment Advice in relation to **Offshore Securities** may, on a conservative view, also fall within Regulated IA Services. However, such activity is unlikely to be viewed negatively by Indian regulators and so in practice is unlikely to trigger the **SEBI Registration Requirement**. The OFI should act in compliance with **Exchange Control Restrictions**, avoid triggering the **Presence in India Rule** and generally conduct its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution of contracts).

Note that an entity offering Investment Advice is required to have client level segregation at group level for advisory and distribution/execution services. The same client cannot be offered advisory and distribution/execution services by entities within the same group.

Regulated Research Services

Means the following services provided by a **Research Analyst** (whether or not any such person has the job title of 'research analyst' to the clients or other persons or group of persons or general public):

- preparation or publication of the **Research Report** or content of the Research Report;
- providing or issuing Research Report or research analysis;
- making 'buy/sell/hold' recommendation;
- giving price target (i.e. expectations on the future performance of specific securities) or stop loss target;

- offering an opinion concerning public offer,
- recommending model portfolio;
- providing **Trading Calls**; or
- any other service of similar nature or character,

with respect to **Securities** that are listed or proposed to be listed in an Indian stock exchange (whether or not any such person has the job title of 'research analyst') to clients or other persons or group of persons or the general public.

Regulated Research Services do not include research services in relation to products:

- that are not Securities; or
- not listed/proposed to be listed in an Indian stock exchange.

Regulated Services

“Regulated Services” includes the services of **Portfolio Management**, **Stock Broking** and **Merchant Banking** as such terms are defined under Indian law.

It is currently unclear whether any of the above services when carried out in relation to **Offshore Securities** fall within the scope of Regulated Services. Technically and on a conservative view the rules may be wide enough to cover Offshore Securities as well. However, in practice, the provision of such services outside India in relation to Offshore Securities falls outside of the scope of the **SEBI Registration Requirement** and is unlikely to be viewed negatively by Indian regulators. The OFI should ensure that it acts in compliance with **Exchange Control Restrictions**, avoids triggering the **Presence in India Rule**, and generally conducts its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution of contracts).

Note that the definition of IMAS as used in this Memorandum comprises four distinct services. The term “Regulated Services” covers three of these services i.e. (i) Portfolio Management, (ii) Arranging, and (iii) Execution of Orders on Behalf of Clients. The fourth, **Investment Advice**, is treated differently under Indian law and is therefore not within the definition of Regulated Services.

Please see section 6.3(b) of the Memorandum for more detail.

Research Analyst/Research Entity

A Research Analyst means a person who, for **Consideration**, is engaged in the business of providing **Regulated Research Services** and includes a part-time research analyst.

A "Research Entity" is defined as a SEBI-registered intermediary engaged in issuance of research reports or research analysis.

Research Report

Means any written or electronic communication that includes research analysis or research recommendation or an opinion concerning securities or public offer, providing a basis for investment decision and does not include the following communications:

- comments on general trends in the securities market;
- discussions on the broad-based indices;
- commentaries on economic, political or market conditions;
- periodic reports or other communications prepared for unit holders of mutual fund or alternative investment fund or clients of portfolio managers and investment advisers;
- internal communications that are not given to current or prospective clients;
- communications that constitute offer documents or prospectus that are circulated as per regulations made by **SEBI**;
- statistical summaries of financial data of the companies;
- technical analysis relating to the demand and supply in a sector or the index; and
- any other communication which SEBI may specify from time to time.

RoC Registration Requirement

Where the **Presence in India Rule** is triggered, the OFI needs to register itself with the relevant Registrar of Companies (**RoC**) in India. The OFI will also be subject to certain compliance requirements such as filing of annual accounts and returns with the RoC.

Initial registration must be done within 30 days of the Presence in India Rule having been triggered and is done through the filing of a Form FC-1 along with, among others documents, a certified copy of the OFI's charter documents, information such as full address of principal office of OFI; list of directors; authorised representative of OFI resident in India; full address of principal place of business in India and a declaration that none of the directors have ever been convicted or debarred from formation of companies and management in India or abroad.

Ongoing obligations include the requirement to do annual filings of the OFI's financial statements and the requirement to maintain other prescribed books and registers. The filings fees for registration of documents vary depending on the documents, but are in any case nominal.

Independent of RoC Registration Requirement, establishing a place of business in India requires an approval from the RBI pursuant to the **RBI Place of Business Rules** if the OFI conducts activities in India which would amount to a place of business having been established in India. Currently, as a matter of process this approval from RBI may also be required for registration with the RoC.

Rule on Collective Investment Schemes

Under the **Collective Investment Schemes Regulations**, only an Indian company which has obtained a certificate of registration from SEBI under the relevant regulations can carry on or sponsor or launch a "collective investment scheme". The definition of "collective investment scheme" in this context would include a Fund. It is therefore recommended that an OFI does not undertake activities in India which may be considered as carrying on, sponsoring or launching a Fund in India without having obtained this certificate of registration from SEBI.

It may, however, be possible for an OFI to market/sell a Fund by way of private placement but only where the **Conditions for Permitted Private Placement of CIS** are complied with. **Certain Compliance Procedures** should also be implemented.

SEBI

Securities and Exchange Board of India

SEBI Registration Requirement

The following activities are caught by the requirement for an OFI to register with SEBI:

- (i) The *marketing and provision* of **Regulated IA Services** in India or (from a conservative perspective) offshore to non-residents Indians and persons of Indian origin, unless the **General Advice Exemption** applies;
- (ii) acting as **Research Analyst / Research Entity** or **Holding Oneself Out as a Research Analyst** (which would include the *marketing and provision* of **Regulated Research Services**) in India or (from a conservative perspective) offshore to non-residents Indians and persons of Indian origin unless the General Advice Exemption applies;
- (iii) the *provision* (but not *marketing*) of **Regulated Services** (i.e. Portfolio Management, Arranging or Execution of Orders on Behalf of Clients) in India.

While *marketing* Regulated Services is technically permitted without SEBI registration (though the **Presence in India Rule** may be separately triggered), caution is required on the part of the OFI. Hence, an OFI must be careful not to be seen to provide Regulated Services in India and the inclusion of disclaimers is recommended.

Note that whether certain services are considered to be Regulated Services or Regulated IA Services (and so will trigger the SEBI Registration Requirement) will depend on whether the service relates to a Domestic or Offshore product. See the definitions of Regulated Services and Regulated IA Services for more information.

The exact nature of the SEBI Registration Requirement will depend on the particular IMAS to be marketed/provided as set out below. In all cases, to register, the OFI would have to establish a locally incorporated entity or branch office in India.

Investment Advice

Necessary to register with SEBI as an **Investment Adviser** (or as a Research Analyst depending on the nature of the service (see (ii), above)).

Portfolio Management

Necessary to register with SEBI as a **Portfolio Manager** and with the Association of Portfolio Managers of India.

Arranging

Necessary to register with SEBI as a **Merchant Banker**.

Execution of Orders on Behalf of Clients

Necessary to register with SEBI as a Portfolio Manager or a **Stock Broker**.

Securities

The term is defined to include shares, scrips, stocks, bonds, debentures, debenture stock or other marketable securities of a like nature in or of any incorporated company or a pooled investment vehicle or other body corporate; derivatives; units or any other instrument issued by any collective investment scheme to the investors in such schemes; security receipts; units or any other such instrument issued to the investors under

any mutual fund scheme; units or any other instrument issued by any pooled investment vehicle; any certificate or instrument (by whatever name called), issued to an investor by any issuer being a special purpose distinct entity which possesses any debt or receivable, including mortgage debt, assigned to such entity, and acknowledging beneficial interest of such investor in such debt or receivable, including mortgage debt as the case may be; government securities; any other instruments as may be declared by the central government to be securities; and rights or interests in securities.

Stock Broker

A person having trading rights in any recognised stock exchange, which includes a trading member.

Trading Calls

Intraday, ultra-short duration, non-delivery based (other than hedging) recommendations or any recommendations related to securities that are not personalized or investor specific.

TRAI Regulations

The Telecom Commercial Communications Customer Preference Regulations, 2018 (**TRAI Regulations**) regulate unsolicited telephone marketing that takes place domestically within India. The TRAI Regulations do not, at the moment, cover cross-border telephone marketing/selling of Products or Services to Institutional Clients. However, the position should be reconfirmed by the OFI as local counsel think it is possible that the position could change.

In addition, given the conservative attitude of the Telecom Regulatory Authority of India (**TRAI**) and the fact that telemarketing activities fall within the ambit of the **Presence in India Rule**, local counsel's recommendation (from a conservative perspective) would be to establish a place of business in India and obtain a TRAI licence or to conduct telephone marketing through a licensed intermediary (on a principal-to-principal basis) for frequent unsolicited telephone marketing activities in respect of any of the Products or Services. See further at 8.2(b) of the Memorandum.

Widely Available Medium Exception

An exception from the **SEBI Registration Requirement** in respect of **Regulated IA Services** for advice given through newspaper, magazines, any electronic or broadcasting or telecommunications medium which is widely available to the public.

2. GUIDELINES FOR COMPLETING PART B OF THIS MEMORANDUM

Please check the boxes below to **confirm** you have followed each of these guidelines:

Please **do**:

- (a) let us know if there are **upcoming legislative changes** in relation to the Part B Memorandum Subject Matter **before** continuing to complete Part B. If the changes are major, we may ask you to delay work on completion of Part B until the changes are in force; ☒
- (b) **confirm** that the questions in Part B **cover** all the issues, requirements, restrictions, exemptions or workarounds that could apply to: (i) the cross-border **marketing** and **sale** of Funds or Investment Management & Advisory Services into your jurisdiction and (ii) the cross-border **provision** of Investment Advice or Arranging into your jurisdiction in connection with Funds or Investment Management & Advisory Services; ☒
- (c) provide **focused answers**, which deal only with issues/requirements/exemptions/conditions that are **relevant to a financial institution** (e.g. bank/securities firm/credit institution/hedge fund/investment fund/pension fund/insurance firm) – please do **not** provide theoretical answers that could never apply in practice to a financial institution; ☒
- (d) ensure that you **answer all of the questions** posed in Part B (please note that certain questions comprise several separate questions, all of which must be answered); ☒
- (e) use the **defined terms** in section 1.3 of this Part B; ☒
- (f) begin answers with "**Yes**" or "**No**", where possible, followed up with a **simple and concise** explanation; ☒
- (g) where publicly available free of charge, please provide (i) a **website link** to any **guidance** (e.g. guidance issued by the competent regulator) referred to in your responses; and (ii) an **English translation** of any such guidance; and ☒
- (h) **complete Appendix 1, 2, 3 and 4 of this Part B**, which pull together all of the required and recommended legends, disclosures, risk factors and other forms of wording to be included in the communications referred to in this Part B. ☒

Please **do not**:

- (i) leave any answer **blank** – if a question is not applicable, please indicate this by stating "N/A" (and provide a brief explanation why it is not applicable); ☒
- (j) **modify** any question or the format of this Part B; ☒
- (k) qualify your answer with **additional factual assumptions** unless agreed with aosphere Limited; or ☒
- (l) **cross-refer** to answers to Part A of this Memorandum. Part A and Part B should be treated as separate standalone documents. ☒

3. SOURCES OF LAW; GUIDANCE; COMPETENT REGULATOR

Questions	Answers
(a) Please list the principal sources of law (whether based on specific legislative statutes, common/case law or equity (where applicable) or civil laws/codes and including constitutional laws) applicable to the cross-border marketing and sale of: (i) Funds; and (ii) Investment Management & Advisory Services, to investors located in your jurisdiction. Please include the date that the relevant law(s) entered into force.	Statutes • The Companies Act, 2013 (date of coming into force – in parts since 30 August 2013) (CA 2013). • The Foreign Exchange Management Act, 1999 (date of coming into force – 1 June 2000) (FEMA). • The Securities Contracts (Regulation) Act, 1956 (date of coming into force – 20 February 1957) (SCRA). • The Securities and Exchange Board of India Act, 1992 (date of coming into force – 30 January 1992) (SEBI Act). • The Telecom Regulatory Authority of India Act, 1997 (date of coming into force – 25 January 1997) (TRAI Act). • The International Financial Services Centres Authority Act, 2019 (date of coming into force – 27 April 2020) (IFSCA Act) Regulations • The Securities and Exchange Board of India (Investment Advisors) Regulations 2013 (date of coming into force - 20 April 2013) (IA Regulations). • The Foreign Exchange Management (Establishment in India of Branch Office or Liaison Office or Project Office or Any Other Place of Business) Regulations, 2016 (date of coming into force - 31 March 2016) (RBI Place of Business Rules). • The Companies (Registration of Foreign Companies) Rules, 2014 (date of coming into force - 1 April 2014) (Foreign Company Rules). • Foreign Exchange Management (Overseas Investment) Regulations, 2022 (date of coming into force – 22 August 2022) (Overseas Investment Regulations). • Foreign Exchange Management (Overseas Investment) Rules, 2022 (date of coming into force – 22 August 2022) (Overseas Investment Rules).

	• The Securities and Exchange Board of India (Portfolio Managers) Regulations, 2020 (date of coming into force –16 January 2020) (Portfolio Managers Regulations). • The Securities and Exchange Board of India (Merchant Bankers) Regulations, 1992 (date of coming into force - 22 December 1992) (Merchant Bankers Regulations). • The Foreign Exchange Management (Current Account Transactions) Rules, 2000 (date of coming into force-1 June 2000) (Current Account Rules). • The Securities and Exchange Board of India (Stock-Brokers) Regulations, 2026 (date of coming into force - 07 January 2026) (Stock Brokers Regulations). • The Securities and Exchange Board of India (Collective Investment Schemes) Regulations, 1999 (date of coming into force – 15 October 1999) (Collective Investment Regulations). • The Securities and Exchange Board of India (Foreign Portfolio Investors) Regulations, 2019 (date of coming into force – 23 September 2019) (FPI Regulations). • The Telecom Commercial Communications Customer Preference Regulations, 2018 (came into effect in a phased manner from 19 July 2018) (TRAI Regulations). • The Securities and Exchange Board of India (Research Analysts) Regulations, 2014 (date of coming into force – 30 November 2014) (Research Analysts Regulations). • The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (came into force from 9 November 2018) (ICDR Regulations). • The SEBI (Alternative Investment Funds) Regulations, 2012 (date of coming into force – 21 May 2012) (AIF Regulations). • The Prevention of Money-Laundering Act, 2002 (date of coming into force – 1 July 2005) (PMLA). • Foreign Exchange Management (Non-Debt Instruments) Rules, 2019 (date of coming into force - 17 October 2019). • Foreign Exchange Management (Debt Instruments) Regulations, 2019 (date of coming into force - 17 October 2019). • Foreign Exchange Management (Permissible Capital Account Transactions) Regulations, 2000 (date of coming into force - 1 June 2000) (Permissible Capital Account Regulations).
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- IFSCA (Capital Markets Intermediaries) Regulations 2025 (date of coming into force – 17 April 2025). (As per [circular](#) dated 31 December 2025, sub-regulations (2), (3) and (8) of regulation 9 are yet to be implemented.)

Special Provisions Pertaining to International Financial Services Centre

The International Financial Services Centre (**IFSC**) in the Gujarat International Finance Tec-City (**GIFT City**) located at Gandhinagar, Gujarat, is a government of India (**GoI**) initiative primarily meant to facilitate the operations of foreign corporations engaged in financial services business intending to set up their business in India. Additionally, for the ease of operations of entities incorporated in the IFSC, the International Financial Services Centre Authority (**IFSCA**) has been established as a nodal regulator for the IFSC. Thus, a financial services entity set up in IFSC is regulated by the rules/ regulations notified by IFSCA and is not restricted by the rules/ regulations notified by the RBI or SEBI (unless such rules and regulations are adopted specifically by the IFSCA).

IFSC-incorporated entities

Having said the above, please also note the following regarding IFSC-incorporated entities:

- Although an entity set up in IFSC will be considered as a non-resident for the purposes of exchange control regulations, such entity is required to be incorporated under the 2013 Companies Act. Therefore, the provisions of the 2013 Companies Act will become applicable to such entity (with certain exceptions as stated below).
- A company incorporated in the IFSC will be considered as a “resident” under the Indian tax laws. Thus, unless specific provisions/ exemptions are notified under the Income Tax Act (**IT Act**), the general provisions of the IT Act would apply to a company incorporated in IFSC; and
- For executing an award or decree against entities located in IFSC, one would need to approach the Indian courts having appropriate jurisdiction.

Exemptions provided under the 2013 Companies Act for an entity incorporated in IFSC

With the aim of providing operational ease, the Ministry of Corporate Affairs (**MCA**) has accorded certain exemptions to public companies and private companies which are incorporated in the IFSC. Certain key exemptions for both private companies and public companies incorporated in IFSC are set out below:

- Documents can be signed on behalf of the company by any person duly authorised by the Board in this behalf – *for a non-IFSC entity, any document can be executed on behalf of the*

Company only by key managerial personal (such as the Company Secretary, Chief Financial Officer etc.) or an officer or employee of the company authorised by the Board.

- (b) The prescribed secretarial standards with respect to general and Board meetings specified by the Institute of Company Secretaries of India will not apply to IFSC company – *for a non-IFSC company, it is mandatory that the prescribed secretarial standards are adhered to in respect of meeting of the Board of Directors and shareholders.*

Operations of Financial Service Providers in IFSC

Any entity operating in IFSC would be required to follow the rules and regulations framed by the IFSCA, which is the nodal regulator for the IFSC.

In respect of entities engaged in providing financial services in IFSC, the IFSCA (Capital Markets Intermediaries) Regulations 2025 provides that a unit in IFSC desirous of undertaking any activities such as broker dealer, custodian, investment banker or investment advisor or research entity shall obtain a certificate of registration from IFSCA.

However, marketing and selling activities by an OFI can be carried out in IFSC in a restricted manner as it can be done in the other parts of India.

An OFI may alternatively be able to structure its activities in accordance with the ever-developing regulatory framework in IFSC. For example, under the regulatory framework for global access, the IFSCA aims to consolidate cross-border trading within the IFSC jurisdiction, providing a competitive and globally aligned environment and strengthening the capital market ecosystem in the IFSC. The framework sets out comprehensive norms for “global access providers” (which includes IFSCA-broker dealers providing access to global markets through arrangements with foreign brokers) and is designed to enhance market access for investors while ensuring robust investor protection, market integrity and ease of doing business. See below for further information.

Regulatory framework for global access

On 12 August 2025, the IFSCA published a circular (**Circular**) setting out the revamped regulatory framework for global access in India’s IFSC at **GIFT City**. The Circular is accessible here:

https://www.ifsc.gov.in/CommonDirect/GetFileView?id=21626bde60601ef44a0ed022017ca6ad&fileName=Final_Circular_Regulatory_Framework_for_Global_Access_in_the_IFSC_20250812_0553.pdf&TitleName=Legal.

The objectives of the revamped framework include:

- positioning the IFSC as a gateway for outbound investments by resident Indians in a regulated manner; and
- promoting ease of doing business by providing more operational flexibility and streamlining norms relating to cross-border trading between IFSC and global markets.

As background, IFSCA-registered broker dealers are already permitted to access stock exchanges in foreign jurisdictions (**Global Markets**) subject to compliance with IFSCA requirements. The Circular sets out the requirements for broker dealers to undertake business activities on Global Markets within the broader regulatory framework established under the IFSCA (Capital Market Intermediaries) Regulations, 2025, which govern capital market intermediaries operating in the IFSC.

In particular, the Circular sets out requirements for global access providers (see definition below) to interface with **foreign brokers** to provide certain clients, including resident Indians including retail investors (to the extent permitted under foreign exchange rules) with access to financial products listed on global markets (excluding products/instruments that are not considered as “financial products” in the IFSC e.g. crypto-assets).

“**Global access provider**” (**GAP**) refers to: (i) a subsidiary of an IFSCA-recognised stock exchange set up in the IFSC for providing access to Global Markets; or (ii) a broker dealer registered with the IFSCA providing access to Global Markets through arrangements with foreign brokers (and excluding a broker dealer which is only an introducer and does not have any direct relationship with a foreign broker).

As per the Circular, a person resident outside India is permitted to deal in global access as provided for under the provisions of FEMA. It is further clarified that a ‘broker dealer’ (i.e., a person which is in the business of buying and selling securities and other permitted financial products for its own account or on behalf of its customers and includes a trading member of a recognised stock exchange, and is registered as a broker dealer with IFSCA) or even a subsidiary of a recognised stock exchange shall obtain authorisation from the IFSCA before commencing work as an Global Access Provider in IFSC.

A Global Access Provider shall not provide access to Global Markets for dealing in index derivatives, single stock derivatives, bond derivatives or USD-INR/INR-USD derivatives that are available on recognised stock exchanges in the IFSC.

The Global Access Provider is required to:

	• ensure that access to a resident Indian individual is provided only for making investments in such products which are permitted under the Liberalised Remittance Scheme notified by Reserve Bank of India (see the bullet on “Updates to Master Directions on LRS” below); • disclose to its clients that certain rights/redress mechanisms of the recognised stock exchanges in the IFSC are not available to clients for global access including investor protection rights; and • make certain disclosures to investors and comply with the Code of Conduct as well as the Advertisement Code along with quarterly reporting to the IFSCA. An OFI may engage in cross-border activities by partnering with a Global Access Provider located and registered in the IFSC. The OFI may function as the ‘foreign broker’ as contemplated in the framework. The OFI as a foreign broker would not be regulated by the IFSCA, however, it must be a regulated or registered broker in a ‘Foreign Jurisdiction’ and the foreign broker shall provide access to Global Markets in compliance with the applicable regulatory requirements of the Foreign Jurisdiction. A Global Access Provider shall immediately inform the IFSCA in case any action is taken by any financial sector regulator against the foreign broker. • Updates to Master Directions on LRS As per the updated Master Directions on LRS, Indian residents can remit funds to IFSCs in India for financial services or products transactions in the IFSC or conducting current or capital account transactions in foreign jurisdictions through foreign currency accounts in an IFSC (and Indian residents can open foreign currency accounts in an IFSC for such purpose). These changes enable an OFI to receive payment for its products or services provided those offerings are made available within the IFSC through a partnership with an IFSC-registered intermediary including via the global access scheme referenced above.
(b) Please list any guidance (e.g. bulletins, codes of practice, guidelines, etc.) issued by the competent regulator(s), which is relevant to the subject matter referred to in section (a) above. Please indicate whether guidance has binding (i.e. legally enforceable) or other status.	• The Foreign Exchange Management (Overseas Investment) Directions, 2022 (date of coming into force – 22 August 2022) (Master Direction on Overseas Investment). • Foreign Exchange Management (Overseas Investment) Directions, 2022 - Investments in Overseas Funds (date of coming into force – 07 June 2024). • The Master Direction on Establishment of Branch Office/ Liaison Office/ Project Office or any other place of business in India by foreign entities, 2016 (date of coming into force- 1 January 2016) (Master Direction on Place of Business).

- The Master Direction – Miscellaneous, 2016 (date of coming into force- 1 January 2016) (**Master Direction Miscellaneous**).
- Master Directions on Liberalised Remittance Scheme (date of coming into force – 1 January 2016) (**Master Directions on LRS**).
- Master Directions on Other remittance Facilities (date of coming into force – 1 January 2016).

The RBI issues master directions on all regulatory matters. A master direction consolidates instructions on rules and regulations framed by the RBI under various legislations including banking issues and foreign exchange transactions. A master direction is issued for each subject matter covering all instructions on that subject and will be updated whenever there is a change in the rules/regulations or there is a change in the policy. The existing set of master circulars issued on various subjects stand withdrawn with the issue of the master direction on the subject. The applicable law is determined on the basis of the underlying regulations and circulars.

- Frequently Asked Questions issued by RBI (along with responses) in connection with Master Direction on Establishment of Branch Office/ Liaison Office/ Project Offices or any other place of business in India by foreign entities.
- Frequently Asked Questions issued by RBI (along with responses) in connection with Master Direction on ‘External Commercial Borrowings (ECB) and Trade Credits’.
- Frequently Asked Questions issued by RBI (along with responses) in connection with ‘Liberalised Remittance Scheme’.
- Frequently Asked Questions issued by RBI (along with responses) in connection with ‘Foreign Exchange (Forex) Transactions’.

The RBI issues FAQs to set out the common queries that users have on certain subjects and the RBI’s response in an easy-to-understand style. The FAQs are not binding on the regulator/RBI. Reference to the FAQs has been inserted here for completeness.

- SEBI’s Master Circular for Merchant Bankers;
- SEBI’s Master Circular for Investment Advisors;
- SEBI’s Master Circular for Research Analysts;
- SEBI’s Master Circular for Stock Brokers;
- SEBI’s Master Circular for Portfolio Managers;
- SEBI’s Master Circular for Alternate Investment Funds; and

	SEBI's Master Circular for Foreign Portfolio Investors, Designated Depository Participants and Eligible Foreign Investors.
(c) Please provide a website link to the English language version of any such sources of law or guidance referred to in section (a) or section (b) above, if publicly available free of charge.	https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/acts.html?act=NTk2MQ== (2013 Companies Act; select Act from drop-down) https://www.enforcementdirectorates.gov.in/acts-and-rules/fema/ (FEMA) https://www.sebi.gov.in/legal/acts/apr-2021/securities-contracts-regulation-act-1956-as-amended-by-the-finance-act-2021-13-of-2021-w-e-f-april-1-2021-49750.html (SCRA) https://www.sebi.gov.in/legal/acts/jan-1992/securities-and-exchange-board-of-india-act-1992-as-amended-by-the-finance-act-2021-13-of-2021-w-e-f-april-1-2021-3.html (SEBI Act) https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2F59-ifsc-act-2019_mol-j09092020074609.pdf&Title=The%20International%20Financial%20Services%20Centres%20Authority%20Act%2C%202019&Date=19%2F12%2F2019 (IFSCA Act) Securities and Exchange Board of India (Investment Advisers) Regulations, 2013 and Securities [Last amended on November 25, 2025] (IA Regulations) Master Direction - Establishment of Branch Office (BO)/ Liaison Office (LO)/ Project Office (PO) or any other place of business in India by foreign entities (Updated as on May 18, 2021) - RBI (Master Direction - Establishment of Branch Office/ Liaison Office/ Project Offices or any other place of business in India by foreign entities) Foreign Exchange Management (Establishment in India of a branch office or a liaison office or a project office or any other place of business) Regulations, 2016 (Amended up to January 21, 2019) - RBI (RBI Place of Business Rules) https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/rules.html (Foreign Company Rules) (select Chapter 22 from the drop down and click "Go") Foreign Exchange Management (Overseas Investment) Regulations, 2022 - RBI (Overseas Investment Regulations) https://rbidocs.rbi.org.in/rdocs/content/pdfs/GazetteRules23082022.pdf (Overseas Investment Rules) SEBI Securities and Exchange Board of India (Merchant Bankers) Regulations, 1992 [Last amended on December 03, 2025] (Merchant Bankers Regulation)

- [Foreign Exchange Management \(Current Account Transactions\) Rules, 2000_0.pdf](#) (Current Account Rules)
- https://www.sebi.gov.in/legal/regulations/jan-2026/securities-and-exchange-board-of-india-stock-brokers-regulations-2026_98974.html (Stock Brokers Regulations).
- [SEBI | Securities and Exchange Board of India \(Portfolio Managers\) Regulations 2020 \[Last amended on September 03, 2025\]](#) (Portfolio Managers Regulations)
- https://www.sebi.gov.in/legal/regulations/dec-2025/securities-and-exchange-board-of-india-collective-investment-scheme-regulations-1999-last-amended-on-december-05-2025-_98692.html (Collective Investment Scheme Regulations)
- [SEBI | Securities and Exchange Board of India \(Foreign Portfolio Investors\) Regulation, 2019 \[last amended on December 03, 2025\]](#) (FPI Regulations)
- [Master Direction - Overseas Investment - RBI](#) (Master Direction on Overseas Investment)
- [Foreign Exchange Management \(Overseas Investment\) Directions, 2022 - Investments in Overseas Funds - RBI](#) (Foreign Exchange Management (Overseas Investment) Directions, 2022)
- https://www.rbi.org.in/scriptS/BS_ViewMasDirections.aspx?id=10203 (Master Direction– Miscellaneous)
- [Securities and Exchange Board of India \(Research Analysts\) Regulations, 2014 \[Last amended on November 25, 2025\]](#) (Research Analyst Regulations)
- https://www.sebi.gov.in/legal/regulations/dec-2025/securities-and-exchange-board-of-india-issue-of-capital-and-disclosure-requirements-regulations-2018-last-amended-on-december-05-2025-_98695.html [Last amended on December 5, 2025] (ICDR Regulations)
- [Securities and Exchange Board of India \(Alternative Investment Funds\) Regulations, 2012 \[Last amended on November 19, 2025\]](#) (AIF Regulations)
- <https://enforcementdirectorates.gov.in/acts-and-rules/pmla/> (PMLA)
- https://www.rbi.org.in/scripts/BS_FemaNotifications.aspx?Id=155 (Permissible Capital Account Regulations)
- [Master Direction – Liberalised Remittance Scheme \(Updated as on September 06, 2024\)](#) (Master Directions on LRS)

- [Master Direction - Other Remittance Facilities \(Updated as on November 28, 2025\) - Official Website of Reserve Bank of India](#) (Master Directions on Other Remittance Facilities)
- <https://ifsc.gov.in/Viewer?Path=Document%2FLegal%2Fifsc-cmi-regulations-202517042025051646.pdf&Title=IFSCA%20%28Capital%20Market%20Intermediaries%29%20Regulations%2C%202025&Date=17%2F04%2F2025> (IFSCA (Capital Markets Intermediaries) Regulations 2025) (As per [circular](#) dated 31 December 2025, sub-regulations (2), (3) and (8) of regulation 9 are yet to be implemented.)
- [Liaison / Branch / Project Offices of foreign entities in India- RBI](#) (FAQs on Master Direction on Establishment of Branch Office/ Liaison Office/ Project Offices or any other place of business in India by foreign entities).
- [Liberalised Remittance Scheme- RBI](#) (FAQs on 'Liberalised Remittance Scheme').
- [Foreign Exchange \(Forex\) Transactions- RBI](#) (FAQs on Foreign Exchange (Forex) Transactions').
- [SEBI | Master Circular for Merchant Bankers](#) (SEBI's Master Circular for Merchant Bankers)
- [SEBI | Master Circular for Investment Advisers](#) (Master Circular for Investment Advisers)
- [SEBI | Master Circular for Research Analysts](#) (Master Circular for Research Analysts)
- [SEBI | Master Circular for Stock Brokers](#) (Master Circular for Stock Brokers)
- [SEBI | Master Circular for Portfolio Managers](#) (SEBI's Master Circular for Portfolio Managers)
- [SEBI | Master Circular for Alternative Investment Funds \(AIFs\)](#) (SEBI's Master Circular for Alternate Investment Funds).
- [SEBI | Master Circular for Foreign Portfolio Investors, Designated Depository Participants and Eligible Foreign Investors.](#) (SEBI's Master Circular Foreign Portfolio Investors, Designated Depository Participants and Eligible Foreign Investors)
- <https://www.dot.gov.in/act-rules-content/2426> (TRAI Act)
- <https://www.trai.gov.in/release-publication/consolidated-regulations/telecom> (TRAI Regulations)
- [Categorization and Rationalization of Mutual Fund Schemes](#) (SEBI Circular on Categorization and Rationalization of Mutual Fund Schemes dated 26 February 2026)

	• Forms for registration of stock brokers and clearing members (SEBI Circular on Forms for registration of stock brokers and clearing members dated 17 February 2026) • Unified Registration for multiple Capital Market Activities under the IFSCA (Capital Market Intermediaries) Regulations, 2025 IFSCA Circular on Unified Registration for multiple Capital Market Activities under the IFSCA (Capital Market Intermediaries) Regulations, 2025 (Master Key) dated 13 February 2026) • Format of Net Worth Certificate and Checklist for conducting Audit of GAPs IFSCA Circular on Format of Net Worth Certificate and Checklist for conducting Audit of GAPs dated 12 February 2026
(d) Are there any announced future changes to the laws listed in section (a) above? If so, please: (i) contact us before continuing if the changes are significant; and (ii) provide brief details (including expected date of entry into force and what the anticipated scope of the changes is to the extent relevant).	The Securities Markets Code Bill, 2025 was introduced in the Lok Sabha on 18 December 2025 with the aim to merge the Securities Contracts (Regulation) Act, 1956, the SEBI Act, 1992, and the Depositories Act, 1996 into a single, unified statute. If enacted, it may necessitate updates to references in this memo to the existing securities law framework, including the SEBI Act and the SCRA. Further detailed review of the act will be required to ascertain the impact on the information in this Memorandum.
(e) Please provide the name of the competent regulator(s).	• The Securities Exchange Board of India (SEBI) • The Reserve Bank of India (RBI) • The Registrar of Companies (RoC) • The Telecom Regulatory Authority of India (TRAI) • The International Financial Services Centres Authority (IFSCA)
(f) Please provide a link to the competent regulator's website (if any) – the English language version if available.	• www.sebi.gov.in • https://www.rbi.org.in/hindi/ • www.mca.gov.in • www.trai.gov.in • https://www.ifsc.gov.in/

4. [SECTION INTENTIONALLY LEFT BLANK]

5. PASSIVE MARKETING (REVERSE-ENQUIRY)

Questions	Answers
(a) Is marketing/selling of a Fund (whether Open-Ended or Closed-Ended) permitted following an unsolicited approach by an investor to an OFI?	Yes. Marketing/selling of a Fund (whether the Fund is a UCITS Fund or not a UCITS Fund) following an unsolicited approach is permitted provided the marketing/selling that follows such unsolicited approach is conducted is structured to avoid triggering the Public Offer Rule (discussed below in this section 5(a)) and the Rule on Collective Investment Schemes (discussed below in this section 5(a)). However, please note that the ‘Presence in India Rule’ (discussed in section 6.2(b) below) will have to be considered if such rule is triggered in relation to marketing/selling activities following an unsolicited approach. Under this rule, if the marketing/selling is carried out in India, the safest approach is for the OFI to register itself under CA 2013 if it accepts subscription to a Fund from Indian residents following reverse enquiries from those Indian residents. However, a view can be taken that an OFI that market/sells from outside India in response to a reverse enquiry will not trigger the Presence in India Rule. In addition, from a practical perspective, marketing and investment activities undertaken by non-resident entities (i.e. an OFI) outside India in relation to offshore Funds would not strictly fall within the scope of Indian regulators so long as the OFI does not undertake business activities in India (e.g. if activities are structured so as to fall outside the Presence in India Rule). It is recommended that the OFI should register itself under the 2013 Companies Act if its activities in India following reverse enquiry are frequent (e.g. entailing frequent telephone/email contact or Fly-In Meetings). See further at 6.2(b) below. The OFI will also need to take consideration of the exchange control regulations (see section 6.2(b) below). Further, as per the IA Regulations, an entity offering investment advisory services is required to have client level segregation at group level for investment advisory and distribution services, i.e. and the same client cannot be offered advisory and distribution services by entities within the same group. Therefore, if an OFI is engaged in providing advisory services warranting registration under the IA Regulations to a particular client, such entity (or any other entity in its group) will not be permitted to market/sell a Fund to the same client. An investment adviser is, however, allowed to provide implementation services (i.e. assistance in the execution/ availing of the schemes and products) to the advisory clients. However, no

	consideration including any commission or referral fees, whether embedded or indirect or otherwise, by whatever name can be charged by the investment adviser from the client either directly or indirectly at the investment adviser's group level for providing such implementation services. See 6.3(b) for further information on the restrictions that apply to the marketing/provision of advisory services to clients in India.
Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant): (i) What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction?	The Indian legal regime does not specifically clarify what constitutes “reverse-enquiry”/“reverse-solicitation”. However, subject to the OFI either making a registration with the RoC (and the RBI, if required under the RBI Place of Business Rules) or determining that its activity falls outside the Presence in India Rule (discussed above and in section 6.2(d) below) an OFI may be permitted to respond to a “reverse-enquiry”/“reverse-solicitation” from an Indian resident if the Public Offer Rule and the Rule on Collective Investment Schemes are not triggered. We discuss these rules in turn below. Public Offer Rule An offshore Fund, raising capital in India by selling its units/shares to Indian investors, is not directly covered within the ambit of the extant Indian legal and regulatory framework. Explicitly, only “alternate investment funds” or “collective investment companies” registered with the SEBI are permitted in India to sell their units to investors in India. Pursuant to Chapter XXII of the CA 2013 (read with Section 42 of the CA 2013), any marketing and selling of securities (as defined below) of a company incorporated or to be incorporated outside India to the public in India (more than 200 persons other than Qualified Institutional Buyers (defined below) in a financial year) will be subject to the Public Offer Rule, meaning that the issue of the prospectus (as defined below) will be subject to the restrictions prescribed in CA 2013 including certain registration and disclosure requirements. While the Public Offer rule on a literal reading applies only to securities of a ‘company incorporated or to be incorporated outside India’, on a conservative reading of the law, “securities” would also include units and shares issued by offshore Funds. <u>To avoid applicability of the Public Offer Rule, it is important that a “prospectus” of a Fund is not issued to the public in India.</u> A “prospectus” includes any notice, circular, advertisement or other document inviting offers from the public for subscription or purchase of securities. Subject to the paragraph that follows, the Public Offer Rule is triggered when an offer is made to the public in India (more than 200 persons in a financial year other than Qualified Institutional Buyers). Hence, an offer to 200 persons or fewer (other than Qualified Institutional Buyers) would not be subject to the Public Offer Rule (200 Persons or Fewer Exclusion). Section 42 of CA 2013 creates an exception to the Public Offer Rule for certain categories of investors (Qualified

Institutional Buyers; see definition below) and offers made to Qualified Institutional Buyers would not be counted towards the maximum limit of 200 persons set out in the Public Offer Rule (**Qualified Institutional Buyers Exemption**).

However, an OFI that is marketing/selling units/interests in an offshore Fund should not trigger the Public Offer Rule (and need not structure its activities to comply with the 200 Persons or Fewer Exclusion or the Qualified Institutional Buyers Exemption) provided that:

- the investment complies with the Exchange Control Restrictions; and
- the OFI's activities are structured to avoid triggering the Presence in India Rule.

The OFI should avoid issuing a prospectus to the larger public in India.

See section 6.2(b) for further information.

The OFI will, however, also need to consider the Rule on Collective Investment Schemes, which is more restrictive and in practice limits an OFI's marketing/selling activities in respective of Funds to responding to reverse enquiries.

Definition of Qualified Institutional Buyers

In this context, the definition of Qualified Institutional Buyers as defined in CA 2013 read with the ICDR Regulations includes the following entities:

- (i) mutual funds, venture capital funds, alternate investment fund and foreign venture capital investors registered with SEBI;
- (ii) foreign portfolio investor other than individuals, corporate bodies and family offices;
- (iii) public financial institutions;
- (iv) scheduled commercial banks;
- (v) multilateral and bilateral development financial institutions;
- (vi) state industrial development corporations;
- (vii) insurance companies registered with the Insurance Regulatory and Development Authority of India;
- (viii) certain provident funds and pension funds (registered with the Pension Fund Regulatory and Development Authority) having a minimum corpus of INR 250 million;
- (ix) the National Investment Fund;
- (x) certain government owned insurance funds; and

(xi) systemically important non-banking financial companies.

If the Public Offer Rule becomes applicable the following will apply:

- (i) Prospectus should have prescribed information and disclosures, approved by SEBI and be registered with the relevant RoC; and
- (ii) Criminal and civil liability with respect to misstatements in prospectus will apply.

In the past, SEBI has taken action against several Indian entities for issuance of securities in the form of non-convertible and convertible preference shares/ non-convertible and convertible debentures/ equity shares to public, without complying with the Public Offer Rule.

Rule on Collective Investment Schemes

Collective Investment Regulations

Regulation 3 of the Collective Investment Regulations provides that only a collective investment management company (which must be an Indian company pursuant to the definition of collective Investment management company in Regulation 2 (h) of the Collective Investment Regulations) which has obtained a certificate of registration under such regulations can carry on or sponsor or launch a collective investment scheme.

Pursuant to Section 11AA of the SEBI Act, a collective investment scheme broadly means a scheme or arrangement where contributions made by investors are pooled and utilised for the purposes of the scheme or arrangement. Further, the deeming provision provided under the proviso of Section 11AA(1) states that ‘any pooling of funds under any scheme or arrangement, which is not registered with SEBI (or otherwise regulated in India), involving a corpus amount of INR 1,000,000,000 or more is deemed to be a collective investment scheme.

A domestic “fund” will come within the ambit of a collective investment scheme as defined under section 11AA of the SEBI Act. We note definition of Fund in Section 1.3 of this Memorandum refers to them being offshore and therefore does not include domestic Indian funds within its scope.

It is not clear if an offshore Fund offering its units in India will require registration with SEBI. However, in the context of an offshore Fund, the SEBI may take recourse to the restriction present in the Collective Investment Regulations on the pretext of the protection of the interests of investors in India. Therefore, it is recommended that an OFI does not undertake activities in India which may be considered as carrying on, sponsoring or launching a collective investment scheme in India. An offer to the public or marketing/selling of a Fund to the public is likely to be seen as a violation of the Collective Investment Regulations.

	Marketing/selling of Funds by way of private placement would be permitted without triggering the Rule on Collective Investment Schemes, however, caution should be exercised by adhering to the following conditions (referred to as the “Conditions for Permitted Placement of CIS”): (a) avoid active marketing of the Fund in India (i.e. limiting activity to responding to reverse enquiries only); (b) limit any documents circulated in response to such reverse enquiries to private offer documents only; and (c) limit subscription to a Fund to high net worth individuals, institutional investors (including Qualified Institutional Buyers) and corporations to avoid scrutiny. Types of investors that will meet criterion (c) The definition of Qualified Institutional Buyers is set out above in the analysis of the Public Offer Rule. “High net worth individuals” are not defined under the ICDR Regulations, however the term generally refers to an individual with substantial investible assets (worth over INR 5 Crore). “Institutional investors” refers to Qualified Institutional Buyers as well as family trust or intermediaries registered with SEBI with net worth of more than five hundred crore rupees, as per the last audited financial statements (for the purposes of listing and/or trading on innovators growth platform in terms of Chapter X of the ICDR Regulations). An OFI should satisfy itself that the investor falls into the categories above by requesting and receiving evidence from the investor. The OFI need not independently verify the same. In relation to institutional investors (including Qualified Institutional Buyers), proof of registration with SEBI/respective regulator should suffice. With respect to high net worth individuals, an OFI may consider requiring such an individual to provide a net-worth certificate from a practising Chartered Accountant. Other criteria that apply In addition, considering SEBI’s wide powers to regulate the securities market in India and drawing from the regulations applicable to Indian funds, it is also recommended that the OFI complies with the following criteria: (i) other than when marketing/selling to an Accredited Investor (as to which see below), it is also advisable to set a minimum investment amount of INR 10,000,000, which is an indicative figure based on the limit applicable to Indian funds set-up by private pooling under the AIF Regulations
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	(ii) minimum subscription amount (i.e. total amount of pooled investments at the point of fund closure) of INR 200,000,000; (iii) require a minimum of 20 investors; (iv) require that any single investor hold no more than 25 percent of the assets under management; and (v) based on a conservative interpretation, limit the total corpus (size) of the Fund to less than INR 1,000,000,000. Counsel considers that although on a conservative view the rules underpinning criteria (i)-(v) above may be wide enough to cover Offshore Securities, in practice, the risk emanating from not adhering to such criteria in full in relation to such securities is low. For the avoidance of doubt, an OFI should comply with the criteria (a) – (c) of the above Conditions in full. Selling to Accredited Investors When selling to an Accredited Investor an OFI could potentially disregard (i), above, and sell/market units in a Fund at an investment amount of <i>less than</i> INR 10,000,000. Such an approach is not a black-letter rule, but a read across of the rules applicable to domestic funds. However, caution is advised as such approach has not been confirmed by as SEBI. Indian regulators are generally considered to have a conservative outlook in terms of administering and enforcing laws. “Accredited Investors” are persons/entities registered as an “accredited investor” in accordance with SEBI’s AIF Regulations. An OFI should satisfy itself that the investor is an Accredited investor by requesting and receiving from the investor a copy of the certificate of accreditation by an accreditation agency. There is no public register of accredited investors. Note that the definition of collective investment schemes does not include mutual funds. However, SEBI may take a view that the exception of mutual funds applies only with respect to Indian mutual funds.
(ii)	Must a “reverse-enquiry”/“reverse-solicitation” relate to a <u>specific</u> Fund or can it be more general? In absence of any specific regulation, in our view, it should not matter if the “reverse-enquiry”/“reverse-solicitation” relate to a specific Fund or if it is general in nature.
(iii)	Does it make a difference if there is a pre-existing relationship with the investor? In absence of any specific regulation, in our view, there should be no difference in the analysis based on there being a pre-existing relationship with the investor.
(iv)	Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”? In absence of any specific regulation, in our view, there should be no difference in the analysis as long as the Public Offer Rule and the Rule on Collective Investment Schemes are not triggered.

(v)	Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches?	No.
(vi)	Does it matter if a third party intermediary made the approach on behalf of the investor?	No.
(vii)	Does the investor need to be a particular type of investor eg a professional investor?	Yes, please see our comment under the Rule on Collective Investment Schemes at section 5(a)(i), above. In particular, caution should be exercised by limiting subscription in a Fund to high-net-worth individuals, institutional investors and corporations.
(viii)	Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	Subject to Public Offer Rule and the Rule on Collective Investment Schemes not being triggered, there should be no restriction on future communications. However, the Presence in India Rule would need to be complied with as discussed in section 6.2(b) below. Please also refer to the discussion in section 5(a) regarding the segregation of advisory services and distribution services for entities engaged in advisory services. In this light, if the OFI is engaged in providing advisory services in India to a particular client, then such OFI (and any other entities in its group) would not be permitted to also market/sell a Fund to the same client.
(b)	Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Funds that you think is relevant. For example:	
(i)	are there particular compliance procedures which are advised?	When an offering document is distributed to investors individually on a private placement basis, the participants in the offering process (e.g. the OFI) should ensure that the document is sent on behalf of the Fund to identified persons in India at their request and it should prohibit the recipient from announcing or transferring the offer to other persons in India. It is important to ensure that the invitation or offer to subscribe to securities does not result, directly or indirectly, in the securities becoming available for subscription or purchase by persons other than those receiving the document. The offering documents should also only be sent to persons who are either high net worth individuals, institutional investors (including Qualified Institutional Buyers) or corporations. It must be ensured that the offering document includes a legend to the effect that the invitation and offer is being made in compliance with applicable law. Please refer to Appendix 1.A. for the wording of this legend. Where marketing activities are undertaken in response to a reverse enquiry (in compliance with the Conditions for Permitted Private Placement of CIS under the Rule on Collective Investment Schemes and potentially also avoiding the Presence in India Rule (and the RBI Place of Business Rules) (see further at 5(a) above)), for audit trail purposes, it may be helpful to retain evidence

	that the client initiated contact (although Counsel do not see any benefit in asking the client to confirm via standard form language that the initiative came from them).
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	See (i) above.
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	Such a general confirmation can be obtained, but the Presence in India Rule, the Public Offer Rule and the risk related to the Rule on Collective Investment Schemes will continue to apply.
(iv) are there any registration/notification/approval/licensing requirements which apply in respect of the OFI following an unsolicited approach regarding a Fund by an investor to an OFI?	Please refer to the Presence in India Rule discussed in section 6.2(b).
(c) Is marketing/selling of Investment Management & Advisory Services permitted following an unsolicited approach by an investor to an OFI? Please outline the legal basis of permitted reverse-enquiries considering the following (if relevant):	In relation to Investment Advice, please refer to the restrictions applicable to an OFI discussed in section 6.3(b) on marketing and provision of Investment Advice relating to domestic securities (and on a conservative view relating to offshore securities) to investors in India. There is no formal exemption or exclusion from these provisions on the basis that an investor approached an OFI by means of a reverse enquiry. The only relevant exception/exemption (from the SEBI Registration Requirement) are the General Advice Exemption and the Widely Held Medium Exception. In relation to Portfolio Management, Execution of Orders on Behalf of Clients and Arranging, it should be possible for an OFI to respond to a reverse enquiry relating to such services. Although these services may constitute Regulated Services (as defined in section 6.3(b)), <i>marketing</i> of Regulated Services (whether active or passive or in relation to domestic and offshore Securities) is permitted (although such marketing should be infrequent and otherwise comply with the Presence in India Rule). The Regulated Services should be <i>provided outside</i> of India, and on a conservative basis the provision should be limited to services relating to offshore securities. In relation to all of the IMAS services (i.e. Portfolio Management, Execution of Orders on Behalf of Clients, Arranging and Investment Advice), the Presence in India Rule and RBI Place of Business Rules also need to be considered. If the marketing/selling is provided in response to a reverse enquiry, from a practical perspective, a view may be taken that the RoC registration requirement (in respect of the Presence of India Rule) and RBI Place of Business Rules will not be triggered.

	Similarly, a view may also be taken, again from a practical perspective, that marketing/selling in response to a reverse enquiry will avoid triggering registration requirements under SEBI. However, taking a cautious approach, it is recommended that the OFI: • make a registration with the RoC if it undertakes any frequent activities by electronic means (including telephone) or Fly-In Meetings even following a reverse enquiry; and • where the activities following a reverse enquiry include marketing or provision of Regulated IA services or Regulated Research Services or provision of Regulated Services, fulfil the SEBI licensing requirement (see further at 6.3(b)).
(i)	What constitutes a “reverse-enquiry”/“reverse-solicitation” within your jurisdiction? See above.
(ii)	Must a “reverse-enquiry”/“reverse-solicitation” relate to a specific Investment Management & Advisory Service or can it be more general? In absence of any specific regulation, in our view, it should not matter if the “reverse enquiry”/“reverse solicitation” relates to a specific Regulated Service or are more general in nature as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.
(iii)	Does it make a difference if there is a pre-existing relationship with the investor? In absence of any specific regulation, in our view, there should be no difference in the analysis based on there being a pre-existing relationship with the investor as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.
(iv)	Must each separate transaction with a particular investor be preceded by a “reverse-enquiry”/“reverse-solicitation”? In absence of any specific regulation, in our view, there should be no difference in the analysis as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.
(v)	Is there a maximum number of potential investors an OFI may market/sell to in response to unsolicited approaches? In absence of any specific regulation, in our view, there should be no difference in the analysis based on the number of potential investors an OFI may respond to in response to unsolicited responses relating to Regulated Services as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.
(vi)	Does it matter if a third party intermediary made the approach on behalf of the investor? In absence of any specific regulation, in our view, it should not matter if an intermediary made the approach on behalf of the investor as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.

(vii) Does the investor need to be a particular type of investor e.g. a professional investor?	In absence of any specific regulation, in our view, the investor does not need to be a particular type of investor as long as the Regulated Services are provided outside of India, and on a conservative basis, the provision is limited to services relating to offshore securities.
(viii) Are there restrictions regarding future communications with investors known to the OFI on the basis of a “reverse-enquiry”/“reverse-solicitation”?	Subject to the Presence in India Rule not being triggered, there should be no restriction on future communications.
(d) Please provide any applicable practical advice in respect of the “reverse-enquiry” regime in respect of Investment Management & Advisory Services that you think is relevant. For example:	
(i) are there particular compliance procedures which are advised?	Not applicable. Please refer Section 5(c).
(ii) are there any specific requirements regarding how investor documentation or application forms are provided to an investor known to the OFI on the basis of a "reverse-enquiry"?	Not applicable.
(iii) is it possible for an OFI to receive a general confirmation from a potential investor that it is happy to be contacted about future opportunities?	Please also refer to the discussion under Section 6.3(b) with respect to Investment Advice. An OFI may not be able to contact a potential investor in relation to future opportunities which amount to Investment Advice, unless the OFI is registered with the SEBI as an investment advisor (or such other entity which can provide Investment Advice as part of its other operations such as portfolio manager or merchant banker). Please also note that the Presence in India Rule would apply additionally.

6. MARKETING/SELLING TO THE PUBLIC

Questions	Answers
6.1 Mutual Recognition of Funds/Passporting Schemes	
(a) Are there any existing or proposed regional arrangements for passporting or mutual recognition of Funds which facilitate the cross border marketing/selling of Funds into your jurisdiction (“Arrangements”)?	No, at present, there are no regional arrangements for passporting or mutual recognition of Funds. However, in the meeting of the International Advisory Board (IAB) of the SEBI, held on 13 & 14 January 2017, the IAB, among other issues, deliberated on the benefits of passporting of investment funds to the investors, industry and economy. The IAB also observed that the SEBI may explore some alternative framework such as mutual recognition and regulatory equivalence

Examples of such Arrangements would be the Association of Southeast Asian Nations (ASEAN) CIS Framework, the Asia-Pacific Economic Co-operation (APEC) Asia Region Funds Passport, the Hong Kong–China mutual recognition platform for Funds or the Switzerland-Hong Kong mutual recognition scheme.	for cross-jurisdictional investment flow. However, no such arrangement has been formalised as yet. Please refer point (iii) in the following link: http://www.sebi.gov.in/media/press-releases/jan-2017/seventh-meeting-of-the-international-advisory-board-of-sebi_34041.html
(b) Please briefly describe any such Arrangements and the relevant rules, guidance or legislation. Please ensure that these sources are included in your responses to section 3 above.	Not Applicable.
(c) If the Arrangements are already in force, if possible, please comment on how widely they have been used and whether any Funds have been marketed or sold in your jurisdiction on the basis of the Arrangements. Please give an indication of costs and timescales of using such Arrangements.	Not Applicable.
(d) If the Arrangements are not yet in force, if possible, please comment on their current status and expected timeline for implementation.	Please refer the discussion above in this section 6.1 in this respect.
(e) Does a Fund have to be both domiciled and managed in one of the participating jurisdictions in order to benefit from the Arrangements, as implemented in your jurisdiction?	Not Applicable.
(f) Is any local presence required in your jurisdiction or would the regulator in your jurisdiction need to approve a Fund in any way before marketing / selling can take place there on the basis of the Arrangements?	Not Applicable.
(g) Do the Arrangements apply to both Open-Ended and Closed-Ended Funds ?	Not Applicable.
(h) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling such Funds in accordance with the Arrangements in your jurisdiction?	Not Applicable.
(i) Where pursuant to this section 6.1 it is possible to market a Fund pursuant to the Arrangements in your jurisdiction, is it recommended or mandatory to include certain	Not Applicable.

disclaimers/wording in the written marketing materials for such Fund marketed to the public? If so, please provide recommended wording in Section D of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	
6.2 Funds	
(a) Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a Fund by an investor which is a member of the public. If applicable, please cross-refer to your answer to section (d) below.	The position is as set out in section 5(a) which means that given the Rule on Collective Investment Schemes, caution should be exercised by limiting subscription in a Fund to reverse enquiries from high-net-worth individuals, institutional investors and corporations only. While there is no strict prohibition on selling funds to retail investors, we recommend that an OFI should not respond to a reverse enquiry from retail investors in relation to a Fund. This recommendation is based on the intent behind the regulations which govern subscription to Indian based Funds and which impose tighter controls on distributions to retail investors. Please also refer to our comment under Section 5(a) above.
(b) Is active marketing/selling of a Fund (domiciled outside your jurisdiction) to the public in your jurisdiction permitted without restriction?	No. Please refer to the Public Offer Rule and the risk related to Rule on Collective Investment Schemes discussed in Section 5(a) above. In addition, please also note the following: Presence in India Rule Chapter XXII of the CA 2013 imposes registration and other requirements on certain kinds of foreign companies. In terms of the CA 2013, every foreign company (which would include an OFI): (i) that has a place of business in India, whether by itself or through an agent, physically or through "electronic mode"; and (ii) conducts <u>any business activity in India</u> in any other manner needs to register itself with the relevant RoC in India unless exempted by an order in this respect issued by the GoI. The only exemption that could be relevant to an OFI is the exemption for a foreign company in relation to an offering of its securities in International Financial Services Centres in India. The definition of foreign company includes any body corporate. Such companies are also subject to certain compliance requirements such as filing of annual accounts and returns with the RoC. As it is assumed that the Fund/OFI will not have a physical place of business in India, the significance of this rule to a Fund/OFI is that it could still be caught by acting through an intermediary or by acting cross-border through 'electronic mode'. In this context, establishing a place of business in India through "electronic mode" has been defined in Rule 2 (c) of the Foreign Company Rules to mean carrying out through electronic means, whether conducted through e-mail, mobile devices, social media, cloud computing, document management, voice or data transmission or otherwise (regardless of whether servers are installed in India) of:

- (i) business-to-business and business-to-consumer transactions, data interchange and other digital supply transactions;
- (ii) offering to accept deposits or inviting deposits or accepting deposits or subscriptions in securities, in India or from citizens of India;
- (iii) financial settlements, web based marketing, advisory and transactional services, database services and products, supply chain management;
- (iv) online services such as telemarketing, telecommuting, telemedicine, education and information research; and
- (v) all related data communication services.

As such CA 2013 does not set out any de-minimis level of business activity that needs to be undertaken in India before an entity can be said to undertake any business activities in India.

Infrequent telephone marketing of the Products and Services may not trigger the Presence in India Rule. However, note that there is no guidance on what would constitute "infrequent" in this context.

Indian regulators are generally considered to have a conservative outlook in terms of administering and enforcing laws. Seeking regulatory approvals for new or innovative methods of operation or business is often time consuming and expensive. Thus, it is always beneficial if new entrants in any given sphere of economic activity adopt established modes and methods of operation. In addition, if marketing any of the Funds or Investment & Advisory Services requires a **significant** physical presence in India, it is recommended to either: (i) establish a place of business in India or (ii) conduct marketing through a licensed intermediary on a principal-to-principal basis (to avoid being seen as having established a place of business in India through an agent in India). Note that the Presence in India Rule applies to frequent fly-ins, telephone marketing and electronic communications (in the context of the Presence in India Rule) but not to physical delivery of hard copy materials.

Taking a conservative approach, in the case of frequent telephone marketing, it may be useful to establish a place of business in India so that the OFI is not viewed as circumventing the Presence in India Rule or engage a licensed third-party intermediary (on a principal-to-principal basis) so that the OFI is not viewed as circumventing Indian regulatory framework applicable to unsolicited tele-marketing of Securities.

Infrequent cross-border marketing (eg. by telephone, email) would not constitute a significant physical presence, but note that there is no guidance on the meaning of "infrequent" in this context. That said, given the conservative attitude of the regulators, this is likely to be interpreted narrowly. When making such an evaluation, regulators are likely to consider the nature and extent of the marketing activities carried out by the OFI and take into account factors such as number of

employees present in India as well as the amount of time spent in India by the OFI's employees. Even if a place of business has not been created the OFI may still trigger the Presence in India Rule. A view can also be taken that an OFI that market/sells from outside India in response to a reverse enquiry will not trigger the Presence in India Rule or RBI Place of Business Rules – see at 8.9(a)(ii), below.

In addition, based on market practice, several major online companies have not, at this point, obtained the foreign company registration applicable to an OFI solely providing services through electronic means without a physical presence in India. We have also not seen the RoC enforce this requirement on such types OFI as yet.

However, the safest approach would be to register with the RoC if the OFI undertakes any marketing/selling activities by electronic means (including telephone) even following a reverse enquiry.

In the case of **offshore** Funds or IMAS, subject to the Presence in India Rule discussed above, the regulatory authorities would not typically view marketing activities negatively if the relevant Funds or IMAS are expressly permitted by the Indian laws to be made directly available by the OFI from outside India (that is, if they comply with Indian foreign exchange control regulations). However, for **frequent** marketing activities of offshore Funds or IMAS involving a significant physical presence in India, it is still recommended to establish a place of business in India or to conduct the marketing through a licensed intermediary (on a principal-to-principal basis).

In light of the above, the OFI should register itself with the relevant RoC under the CA 2013 (and obtain the approval of the RBI, if required (see below in relation to the RBI Place of Business Rules)) if it plans to undertake frequent marketing/selling activities in India of Funds or IMAS (or otherwise it should structure its activities so as to fall outside the Presence in India Rule e.g. by restricting communications to physical delivery of documents, infrequent Fly-In Meetings, Fly-Out Meetings, infrequent email contact and potentially, infrequent telephone marketing, or if the marketing/selling is undertaken by a locally licensed intermediary on a principal-to-principal basis). In the event the engagement with Indian clients is limited to **infrequent** contact and the Indian Exchange Control Regulations are complied with to close the transactions, the Indian regulators are unlikely to consider that the Presence in India Rule has been triggered.

It may be helpful for an OFI to maintain an audit trail relating to its activities in India as evidence that the OFI has avoided triggering the Presence in India Rule.

RBI Place of Business Rules

Independent of the requirement of registration of foreign companies under CA 2013 stated above, establishing a place of business in India requires an approval from the RBI pursuant to the RBI Place of Business Rules.

	The requirement can be triggered if the OFI conducts activities in India which would amount to a place of business having been established in India. As a general rule, the RBI Place of Business Rules will not be triggered so long as the OFI structures its marketing activities so as to avoid triggering the Presence in India Rule. The RBI Place of Business Rules should not be triggered by cross-border marketing conducted by an OFI from overseas. However, consideration should be given to Fly-In Meetings. Infrequent marketing by means of Fly-In Meeting should not constitute a place of business, but note that there is no guidance on the meaning of "infrequent" in this context (given the conservative attitude of the regulators it is likely to be interpreted narrowly). Although in a different context, recently, the Bar Council of India Rules for Registration and Regulation of Foreign Lawyers and Foreign Law Firms in India, 2022 was issued which permits foreign law firms to advise Indian clients on foreign laws/ international laws without requiring such firms to obtain registration with the appropriate authority on a 'fly-in fly-out' basis i.e., if such practice in India is not for more than an aggregate of 60 days in 12 months (and provided certain other conditions are complied with). In our view, when assessing whether the RBI Place of Business Rules have been triggered, RBI is likely to consider the nature and extent of the marketing activities carried out by the OFI and take into account factors such as number of employees present in India as well as the amount of time spent in India by the OFI's employees. In addition, please note that while the prevalent view as discussed above is that cross-border marketing by way of telephone or electronic communication should not trigger the RBI Place of Business Rules, as a matter of process for a foreign company to register with the RoC under the Presence in India Rule under the CA 2013, there is a requirement to submit a copy of the approval obtained with the RBI under the RBI Place of Business Rules. Hence, on the basis of this technicality, it is possible according to certain views that registration pursuant to the Presence in India Rule under the CA 2013 could trigger the approval requirement under the RBI Place of Business Rule. Hopefully the position will be clarified when the government issues further guidance on the Presence in India Rule under CA 2013. If triggered, the place of business would have to be either a locally incorporated entity or a branch office authorised by the RBI (see section 6.2(d) below). The RBI considers a number of criteria for granting its approval for setting up a place of business in India including profit making record for 3 years (for a liaison office) and 5 years (for a branch office). Exchange Control Restrictions under FEMA Participation in Funds and purchase of IMAS by Indian residents will be subject to the Indian exchange control regulations.
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	Opening of offshore accounts and remittances made to and from India are regulated. The obligation to comply with these regulations falls on the resident Indian investor rather than the OFI, although it is common to obtain confirmation that the regulations have been complied with. Recommended wording is included in Appendix 1.A(d) (in relation to Funds) and Appendix 3.A(d) (in relation to IMAS). Any cross-border transactions or withdrawals of foreign exchange need to comply with the FEMA and the rules, regulations, and circulars/directions issued under it. The FEMA generally requires that all transactions in and withdrawals of foreign currency, and any cross-border payments, are made through an ‘authorised person’ i.e., an authorised dealer of foreign exchange, including Authorised Dealer Category I banks (AD Banks). All withdrawals of foreign exchange for permissible transactions must occur only through the AD Banks that process the transaction, at their discretion in compliance with FEMA. Permissible transactions The subscription or purchase of a Fund’s securities by Indian residents will depend on their eligibility to undertake such transactions under the Indian exchange control regulations. Primarily, the Overseas Investment Regulations read with Overseas Investment Rules govern the type of persons who can invest in overseas securities/interests and the conditions for such investments. Offshore Funds In view of the diverse regulatory framework governing investment funds across various jurisdictions, the RBI has amended the Master Direction on Overseas Investment <i>vide</i> Foreign Exchange Management (Overseas Investment) Directions, 2022 - Investments in Overseas Funds dated 7 June 2024 to expand the scope of overseas portfolio investments that listed Indian companies, resident individuals and unlisted Indian entities in IFSCs are permitted to invest in. As per the amendment, the definition of Overseas Portfolio Investment (OPI) will also include investments in any other instruments (by whatever name called) issued by an investment fund overseas. Previously, investment was only limited to ‘units’. Additionally, now RBI has permitted investment in investment funds overseas which are regulated by the regulator of the financial sector in the host jurisdiction or jurisdiction through a fund manager. Also, generally speaking, any corporation or other entity incorporated in India whether as a company or partnership or limited liability partnership or under an act of the Parliament can invest in foreign securities. However, banks and financial service providers will require permission of the RBI/ sectoral regulatory authority prior to making an investment in foreign securities. As per Indian foreign exchange regulation, Institutional Clients that are eligible (or permitted by the RBI) to purchase foreign securities do not require permission to make such payments. There are however reporting requirements for the Institutional Clients (not the OFI) that need to be adhered to. Investments in offshore funds by Indian mutual funds are also specifically regulated
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	under SEBI's mutual fund regulations in addition to FEMA. Indian mutual funds are permitted to invest in overseas securities, including overseas MF/UTs that have exposure to Indian securities, provided that the total exposure to Indian securities by these overseas mutual funds/unit trusts (MF/UT) shall not be more than 25% of their assets (SEBI Master Circular for Mutual Funds dated 27 June 2024). Certain requirements apply (under a SEBI circular dated 4 November 2024), including that the overseas MF/UT is managed by an independent investment manager/fund manager who is actively involved in making all investment decisions for the fund. Offshore IMAS Payment for IMAS would have to be made through normal banking channels. Remittances for payment for consultancy services procured outside India exceeding USD 1,000,000 per project require RBI permission. In case advance remittances made to the OFI exceed USD 500,000 or its equivalent, the OFI would need to furnish a bank guarantee to the investor for the same. Permissible transactions with retail investors In addition, the RBI has formulated a 'Liberalised Remittance Scheme' (as captured in the Master Direction – Miscellaneous) under which retail clients resident in India can invest outside India up to a specified amount per financial year (currently USD 250,000) in permitted transactions. Additionally, under the Permissible Capital Account Regulations, a resident individual may, draw from an authorized person foreign exchange not exceeding USD 250,000 per financial year or such amount as decided by RBI from time to time for a permissible capital account transaction (which includes <i>inter alia</i> investment by: a person resident in India in foreign securities (including Funds); loans and overdrafts by a person resident in India to a person resident outside India; and derivative contracts by a person resident in India with a person resident outside India). Further detail on these restrictions is outside the scope of this Memorandum. FPI Regulations A Fund which is majority owned by Indian residents, non-resident Indians and persons of Indian origin will not be allowed to take the foreign portfolio investment route in India. Therefore, it is recommended that if Fund's investment strategy involves portfolio investment in India (i.e. the purchase of domestic securities in India), it considers the extent of investment it should receive from Indian residents, non-resident Indians and persons of Indian origin. Detail of the FPI Regulations is outside the scope of this Memorandum.
(c)	With reference to sections (a) and (b) above, if possible, please provide a definition of "the public" as such term is interpreted in For the purpose of the Public Offer Rule, the term 'public' with respect to subscription to securities is understood in terms of a prescribed number, which is currently 200 (excluding Qualified Institutional Buyers). An offer to allot, invitation to subscription, allotment or agreement to allot securities to more than 200 persons (excluding Qualified Institutional Buyers)

your jurisdiction. For example, “the public” are those investors that are not “professional investors”.	in a financial year is deemed to be an offer to ‘public’. Professional investors who are not Qualified Institutional Buyers are also counted in ‘public’. However, for the purposes of the Public Offer Rule, while an OFI should avoid issuing a prospectus to the larger public, it need not structure an offering of offshore securities (including Funds) within the 200 Persons or Fewer Exclusion (see section 5(a)(i) for further information). However, in practice, the effect of the Rule on Collective Investment Schemes limits an OFI to responding to reverse enquiries from certain investors only in relation to Funds. With respect to the Presence in India Rule (or the marketing and selling of IMAS), the term ‘public’ can be widely interpreted to mean the public at large in India. In terms of the application of the Rule on Collective Investment Schemes, in terms of Passive Marketing the term “the public” can be understood to be investors <i>other than</i> those: • who are high net worth individuals, institutional investors (including Qualified Institutional Buyers) or corporations; <u>and</u> • who meet the other criteria in the Conditions for Permitted Private Placement of CIS. See further at section 5(a)(i), above. However, in terms of Active Marketing, the term “the public” can be widely interpreted to mean the public at large in India.
(d) If the answer to section (b) above is “No”, are there certain requirements that either the OFI or the Fund (domiciled outside your jurisdiction) can fulfil so that active marketing/selling by the OFI of a Fund to the public in your jurisdiction is permitted? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Marketing and/or selling of a Fund should be done on a conservative basis in order to not trigger the Rule on Collective Investment Schemes (discussed in section 5(a) above). The marketing should not be to public at large (i.e. should be restricted to high net worth individuals, institutional investors (including Qualified Institutional Buyers) and corporations to avoid scrutiny) and limited to private offer documents (i.e. documents distributed to identified individuals in accordance with the guidance at section 5(b)(i)). The marketing should also be done on the basis of reverse solicitation only. For more analysis including guidance on additional conditions that should be met, see further at 5(a)(i), above. On the basis of the above it is therefore effectively not possible for an OFI to actively market a Fund to the public or even a group of retail investors in India. However, marketing done offshore (i.e. Fly-Out Meetings where an OFI markets/sells to an Indian investor who is outside India) is not likely to fall foul of the regulations. As discussed above, a Fund cannot be actively marketed to the public in India. The possible avenue for Indian investors to invest in Funds is through private placement preferably based on reverse solicitation (i.e. so as not to trigger the Public Offer Rule or the Rule on Collective Investment Schemes), subject to the Presence in India Rule.

	If the Presence in India Rule is triggered as described in section 6.2(b) above, the process will be as follows: Registration with RoC: Every foreign company (including an OFI) is within 30 days of establishment of place of business (as defined in CA 2013) in India required to deliver Form FC-1 along with, among others, a certified copy of its charter documents, along with information such as full address of principal office of OFI; list of directors; authorised representative of company resident in India; full address of principal place of business in India, a declaration that none of the directors have ever been convicted or debarred from formation of companies and management in India or abroad. The typical timeframe for registration should be 2-3 months and the approximate registration costs should be within USD 1000. However, this does not include any fee payable to consultants or costs involved in preparation of documents to be submitted along with the registration form. Such companies are required to do annual filings of its financial statements and are required to maintain other prescribed books and registers. The filings fees for registration of documents vary depending on the documents, but are in any case nominal. For more information refer to the following link: https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/rules.html (select Chapter 22 from the drop down and click “Go”) Where an OFI has also effectively created a place of business under the RBI Place of Business Rules (e.g. through frequent Fly-In Meetings), it will also need to obtain an approval under the RBI Place of Business Rules. In addition, please note that while the prevalent view as discussed above is that cross-border marketing by way of telephone or electronic communication should not trigger the RBI Place of Business Rules, as a matter of process for a foreign company to register with the RoC under the Presence in India Rule prescribed under the CA 2013, there is a requirement to submit a copy of the approval obtained with the RBI under the RBI Place of Business Rules. Hence, on the basis of this technicality, it is possible according to certain views that registration pursuant to the Presence in India Rule under the CA 2013 could trigger the approval requirement under the RBI Place of Business Rule. Hopefully this position will be clarified when the government issues further guidance on the Presence in India Rule under the CA 2013. Approval from RBI for place of business For obtaining the registration from the RBI for establishing a place of business in India the OFI has to make an application for establishing a branch office/liaison office in India. The application, in prescribed form with supporting documents, has to be forwarded to the RBI through a designated Category – 1 Authorised Dealer Bank (the domestic bank the OFI/Fund intends to
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	pursue banking relations with). Typically, the AD Banks do not charge anything for processing the registration application. However, ancillary costs with respect to fees of consultants and costs involved in preparation of documents to be submitted along with the registration form will be applicable. After receiving approval from the RBI (which ordinarily takes 2-3 months), the OFI will be granted a Unique Identification Number. It is then required to register with Indian tax authorities and obtain a Permanent Account Number by filing Form 49AA and obtain registration as a foreign company with the relevant RoC. Among others, a foreign company obtaining above registration has to file annual activity certificates in prescribed form along with financial statements. https://rbi.org.in/scripts/BS_ViewMasDirections.aspx?id=10195 read with https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=10404#4 Please note that there are separate licensing requirements for OFIs that are banks. Foreign banks are required to obtain approval under the provisions of the Banking Regulation Act, 1949, from the Banking Operations and Development Department of the RBI for establishing a branch office in India.
(i) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	As provided in Assumption 1.5 (b) in the ‘Instructions to Counsel’, we have assumed that the Funds are domiciled outside India. The fact that a particular non-Indian Fund is, or is not, regulated in a jurisdiction outside of India does not impact the analysis set out in this Memorandum. Hence there is no special exemption for Funds registered outside of India which happen to have a particular regulatory status, e.g. UCITS Funds or US 1940 Act Funds.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund.	There is no impact on the analysis applicable to the marketing and selling of Funds to the public in India depending on whether the Fund is Open-Ended or Closed-Ended.
(iii) the relevant criteria for determining whether investors are in your jurisdiction for the purposes of determining whether the Fund may be offered to the public.	Broadly speaking, the presence in India would be the determining criteria. For non-individuals, entities incorporated in India or having a registered place of business in India will be covered. With respect to individuals, persons present in India would be considered.
(iv) whether it is necessary to use a local intermediary in order to market/sell interests in a Fund to the public in your jurisdiction.	No.
(v) whether there is any requirement as to the language the Fund documentation needs to be in and are there any	It is not advisable for an OFI to actively market a Fund to the public or even a group of retail investors in India (see section 6.2(a)). However, an OFI that is structuring its activities to avoid the Rule on Collective Schemes, the Public Offer Rule and the Presence in India Rule (see sections

particular requirements that apply in connection to such documents?	5(a)(i) and 6.2(a) for further information) should provide any Fund documentation in English as a matter of market practice. Also, see section 5(b)(i) for information on certain compliance procedures that should be followed where an OFI is distributing documents on a private placement basis, including that documents should be addressed and sent to identified persons and prohibit the recipient from announcing/transferring the offer to other persons in India. Counsel notes for completeness that a person marketing/selling an Indian CIS to retail investors in India in compliance with Indian regulation including the Collective Investment Schemes Regulations and ICDR Regulations must comply with certain disclosure and format requirements. For example, advertisements must be in a clear, concise and understandable language and certain public announcements must be made in English and Hindi and via regional newspapers of wide circulation in the relevant area.
(e) Where it is possible to market/sell a Fund pursuant to a regime outlined in 6.2(d), please briefly outline any applicable timescales, costs, initial and ongoing filing or other requirements.	As discussed in section 6.2(d), the scenarios where it is possible for an OFI to market/sell a Fund to members of the public are very narrow. Please, however, refer to the discussion in sections 6.2(a), (b) and (d). Please also refer to the discussion in section 10(c) for the timelines and costs involved in obtaining the applicable registrations.
(f) Are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund to the public in your jurisdiction?	Please refer to the discussion in section 6.2(a), (b) and (d).
(g) Would your answer to section (b) above differ if interests in the Fund being marketed/sold to the public constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	Yes. The Public Offer Rule and the Rule on Collective Investment Schemes will technically not apply, but it should be noted that SEBI has wide powers to regulate the securities market in India and it may not allow marketing or sale of Funds if the resale process was adopted to avoid the Public Offer Rule and the Rule on Collective Investment Schemes. The Presence in India Rule will continue to apply independently even in case of marketing of secondary offering.
(h) Where pursuant to section 6.2(d) above it is possible to market a Fund to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials for a Fund marketed to the public? If so, please provide recommended wording in Section C of each of Appendix 1 and Appendix 2 (as applicable) of this Memorandum.	As mentioned above, in accordance with the Public Offer Rule and the Rule on Collective Investment Schemes, the active marketing and selling of Funds to public in India would not be permitted. Please, however, see the recommended wording suggested in Appendix 1.A. in case of selling of Funds through private placement and where structuring activities to avoid the Presence in India Rule. The OFI should also include disclaimer wording: • in relation to the Exchange Control Restrictions;

	- disclaiming liability for contravention of Indian regulations by clients; and - that it is not registered with SEBI to provide Regulated Services, Regulated IA Services and Research.
6.3 Investment Management & Advisory Services	
(a) Please confirm whether your response to section 5(c) would apply where the unsolicited approach in respect of Investment Management & Advisory Services is made by an investor which is a member of the public. If applicable, please cross-refer to your answer to section (b) or (d) below.	Yes.
(b) Is marketing/selling of Investment Management & Advisory Services to the public in your jurisdiction permitted without restriction ?	No. Below, we first address the regulatory framework for marketing/selling IMAS, and we then comment on the position in practice applicable to retail versus non-retail investors. Please refer to our discussion on Presence in India Rule in section 6.2(b) above. We note that the definition of Investment Management & Advisory Services (IMAS) comprises four distinct services (Investment Advice, Portfolio Management, Arranging and Execution of Orders on Behalf of Clients). The position in relation to Investment Advice is slightly different to that which applies to the other services and we will therefore discuss it first before dealing with the other services. The three remaining services (Portfolio Management, Execution of Orders on Behalf of Clients and Arranging) will fall within the scope of “Regulated Services” if provided in relation to <i>domestic</i> Securities (and on a conservative view, <i>offshore</i> securities). In this section we will also discuss acting as or holding oneself out as a “Research Analyst/Research Entity”. It is possible that when an OFI is marketing a Fund or IMAS, it could trip into this service, which will trigger the SEBI Registration Requirement. Investment Advice The IA Regulations aim to regulate marketing and provision of investment advisory services in India in relation to securities. Regulation 3 of the IA Regulations provides that no person can act as <i>or hold itself out</i> as an investment adviser before obtaining a certificate of registration from the SEBI. The term “investment adviser” has been defined broadly in Regulation 2 (m) of the IA Regulations to mean any person who is engaged in the business of providing investment advice to clients or other persons or groups of persons, for a consideration, and includes any person who holds out himself as an investment adviser by whatever name.

Regulation 2 (l) of the IA Regulations defines "investment advice" as advice relating to investing in, purchasing, selling or otherwise dealing in securities and advice on investment portfolio containing securities, whether written, oral or through any other means of communication for the benefit of the client including any financial planning services.

Pertinently, the IA regulations provide that investment advice given through “*newspaper, magazines, any electronic or broadcasting or telecommunications medium, which is widely available to the public shall not be considered as investment advice*” for the purpose of the IA Regulations (**Widely Available Medium Exception**).

Additionally, ‘trading calls’ are also not considered as investment advice for the IA regulations. “**Trading Calls**” are defined under Regulation 2(zc) of the Research Analyst Regulations as “*intraday, ultra-short duration, non-delivery based (other than hedging) recommendation or any recommendation related to securities that are not personalized or investor specific*”.

The term "securities" is defined under the SCRA, and the term will need to be construed accordingly. "Securities" are defined in section 2 (h) of the SCRA to include: shares, scrips, stocks, bonds, debentures, debenture stock or other marketable securities of a like nature in or of any incorporated company, or a pooled investment vehicle or other body corporate; derivatives; units or any other instrument issued by any collective investment scheme to the investors in such schemes; security receipts; units or any other such instrument issued to the investors under any mutual fund scheme; units or any other instrument issued by any pooled investment vehicle; any certificate or instrument (by whatever name called), issued to an investor by any issuer being a special purpose distinct entity which possesses any debt or receivable, including mortgage debt, assigned to such entity, and acknowledging beneficial interest of such investor in such debt or receivable, including mortgage debt as the case may be; government securities; any other instruments as may be declared by the central government to be securities; and rights or interests in securities.

The OFI may undertake marketing/provision activities for Investment Advice in relation to **domestic securities** (and on a conservative view marketing and provision of Investment Advice with respect to offshore securities) in India (i.e., the **Regulated IA Services**) *only* after it registers itself as an investment advisor with the SEBI. By "domestic" we mean issued under Indian law. Please also note that IA Regulations will be applicable when Investment Advice is provided by Indian advisors to Indian residents, non-resident Indians and persons of Indian origin outside India.

From a practical perspective, providing or marketing investment advisory services outside India in relation to **offshore securities** is unlikely to be viewed negatively by Indian regulators. The OFI should ensure that it acts in compliance with Exchange Control Restrictions (see above at section 6.2(b)), avoids triggering the Presence in India Rule, and generally conducts its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution

of contracts). An investment adviser who conducts Regulated IA Services is subject to a number of compliance requirements. For example, such investment advisers must act in a fiduciary capacity towards their clients and disclose all conflicts of interest as and when they arise. To comply with the IA Regulations, the OFI will also have to establish a place of business in India.

There are exceptions under the IA Regulations for certain persons from registering as an investment adviser with respect to persons who are otherwise regulated in India and provide investment advice incidental to their primary activity, e.g. merchant bankers, portfolio managers. In our view, an OFI will be unable to avail itself of any such exemption because of the requirements of such registration. In any case, irrespective of the exemption from registration, the exempted person is required to comply with general compliance obligations of investment advisers referred to above (e.g. relating to fiduciary role/management of conflicts of interest).

An OFI could consider carrying out such marketing activities through an independent contractor (on a principal-to-principal basis) subject to compliance with the Presence in India Rule.

The OFI may wish to note, however, that there is an exemption from the SEBI Registration Requirement in respect of Investment Advice available for “persons giving general comments in good faith on trends in the financial or securities market where such comments do not specify any particular securities or investment product” (the General Advice Exemption), which might be applicable to the OFI. This exemption is set out in section Regulation 4 (a) of the IA Regulations.

Please also refer to the discussion in section 5(a) regarding the segregation of advisory services and distribution services for entities engaged in advisory services. In this light, if the OFI is engaged in providing advisory services in India to a particular client, then such OFI (and any other entities in its group) would not be permitted to also market/sell a Fund to the same client.

Other Investment Management & Advisory Services

A portfolio manager is defined in Regulation 2 (o) of the Portfolio Manager Regulations as "a body corporate, which pursuant to a contract with a client, advises or directs or undertakes on behalf of the client (whether as a discretionary portfolio manager or otherwise) the management or administration of a portfolio of securities or goods or funds of the client, as the case may be.." This would be relevant to the services of Portfolio Management and Execution of Orders on Behalf of Clients.

Under Regulation 2 (cb) of the Merchant Banker Regulations, the term "merchant banker" is defined quite broadly and covers **"any person who is engaged in the business of issue management either by making arrangements regarding selling, buying or subscribing to securities or acting as manager, consultant, adviser or rendering corporate advisory service in relation to such issue management"**. This is particularly relevant to Arranging.

A “stock broker” has been defined in Regulation 2 (w) of the Stock Brokers Regulations as a **“person having trading rights in any recognised stock exchange and includes a trading member”**. This is particularly relevant for Execution of Orders on Behalf of Clients.

Portfolio management, merchant banking and stock broking will fall within the scope of **“Regulated Services”** if provided in relation to *domestic* securities (and on a conservative view, *offshore* securities). In terms of the four distinct services that comprise IMAS, this encompasses Portfolio Management, Execution of Orders on Behalf of Clients and Arranging, but not Investment Advice.

The provision by an OFI of any or all of these services in relation to “securities” would require registration with SEBI and for the entity providing such services to have a place of business in India. In relation to portfolio managers, registration with the Association of Portfolio Managers of India (**APMI**) is also required. See section 10(c) for further information.

In this context, **“securities”** has the same definition as is used in the IA Regulations (which refers to the definition in the SCRA); see above in this section 6.3(b).

However, a **distinction may in practice be made between domestic and offshore securities** as follows:

An OFI may **provide** Regulated Services (i.e. portfolio management, merchant banking (including Arranging) and stock broking) in relation to *domestic* securities products (and on a conservative view with respect to *offshore* securities products in India), ***only*** after it registers itself with the SEBI and complies with the related regulations. By “domestic” we mean issued under Indian law.

It is currently unclear whether portfolio management, merchant banking (including Arranging) and stock broking in relation to *offshore* securities are caught by the SEBI registration requirement. The definition of “securities” is wide enough to capture both domestic and offshore securities. However, from a practical perspective, providing such services outside India in relation to offshore securities (i.e. offshore securities which have no underlying Indian securities e.g. Global Depository Receipts) most likely falls outside the scope of the Indian regulators and the Indian regulators are unlikely to view provision of such services negatively if they are expressly permitted by Indian laws to be made directly available by the OFI from outside India (i.e. the OFI acts in compliance with the foreign exchange requirements set out in section 6.2(b) of this Memorandum, avoids triggering the Presence in India Rule and generally conducts its operations from outside India (occasional activity in India is unlikely to create issues e.g. one-off execution of contracts)).

Marketing in relation to portfolio management, merchant banking (including Arranging) and stock broking outside or in India should be permitted without triggering the SEBI registration requirement, although the Presence in India Rule may separately be triggered for marketing of

	such services in India. However, the OFI should ensure that such services are <i>provided</i> outside India. Further, the OFI must be careful not to be seen as providing a Regulated Service as part of any marketing activity. Therefore, disclaimers are recommended. Acting as a Research Analyst On 1 September 2014, the SEBI notified the Research Analysts Regulations. The Research Analyst Regulations were subject to significant amendments in December 2024. Under Regulation 3 of the Research Analyst Regulations, no person can act as a Research Analyst or research entity or hold itself out as a Research Analyst without registering with the SEBI¹. Under the Research Analyst Regulations, a “Research Analyst” means a person who, for “consideration” (meaning any form of economic benefit including non-cash benefit, received or receivable, directly or indirectly, in any form whether from client or otherwise for providing research services), is engaged in the business of providing research services (see definition below) and includes a part-time research analyst. Counsel considers that persons providing research services without any consideration will not be subject to the SEBI registration requirement. However, please note that the term ‘consideration’ is widely defined under the Research Analyst Regulations and includes non-cash benefits. Please also note that research services being provided by research analyst or research entity to any of its clients purchasing its other services as registered intermediary in another capacity (e.g. a SEBI-registered stock broker) shall be considered as research services provided ‘for consideration’ even though no fee is charged by such research analyst or research entity directly from the client. Illustration: Research services provided by the research entity, who is also registered with SEBI as stock broker, to clients using its stock broking services are considered as research services ‘for consideration’. “Research Entity” is defined as a SEBI-registered intermediary engaged in issuance of research reports or research analysis. As per Regulation 2(wa) of the Research Analyst Regulations, ‘research services’ mean the following services provided by a Research Analyst (“Regulated Research Services”): • “preparation or publication of the research report (see definition below) or content of the research report;
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¹ A SEBI-registered investment adviser is not required to seek separate registration as a Research Analyst, although it will need to otherwise comply with the Research Analyst Regulations. Please also note that SEBI through its circular dated 23 July 2025 has clarified that - individuals employed as research analysts with a research entity are not required to obtain a registration certificate from SEBI. The research entity, which employs individuals as research analysts, is required to obtain a registration certificate under the Research Analyst Regulations. The individuals employed as research analysts by a research entity are required to comply with qualification and certification requirements as specified in the regulations. The trading limitations prescribed under the regulations are applicable to them.

- providing or issuing research report or research analysis;
- making 'buy/sell/hold' recommendation;
- giving price target (i.e. expectations on the future performance of specific securities) or stop loss target;
- offering an opinion concerning public offer,
- recommending model portfolio;
- providing trading calls (meaning intraday, ultra-short duration, non-delivery based (other than hedging) recommendation or any recommendation related to securities that are not personalized or investor specific); or
- any other service of similar nature or character,

with respect to securities (see definition below) that are listed or proposed to be listed in a stock exchange (which counsel considers refers to a stock exchange in India), whether or not any such person has the job title of 'research analyst' to the clients or other persons or group of persons or **general public**".

In this context, "**securities**" has the same definition as is used in the IA Regulations (which refers to the definition in the SCRA); see above in this section 6.3(b). "**Research Report**" means any written or electronic communication that includes research analysis or research recommendation or an opinion concerning securities or public offer, providing a basis for investment decision and does not include the following communications:- (i) comments on general trends in the securities market; (ii) discussions on the broad-based indices; (iii) commentaries on economic, political or market conditions; (iv) periodic reports or other communications prepared for unit holders of mutual fund or alternative investment fund or clients of portfolio managers and investment advisers; (v) internal communications that are not given to current or prospective clients; (vi) communications that constitute offer documents or prospectus that are circulated as per regulations made by SEBI; (vii) statistical summaries of financial data of the companies; (viii) technical analysis relating to the demand and supply in a sector or the index; and (ix) any other communication which SEBI may specify from time to time.

The requirement to register with SEBI under the Research Analyst Regulations will not apply to the OFI where it markets/provides research falling outside the definition of Regulation Research Services.

To the extent that marketing Regulated Research Services to Indian clients (even when such clients are outside the country) would result in the OFI holding itself out as a Research Analyst, the SEBI registration requirement would be triggered, unless an exemption applies. The phrase 'hold itself out as a research analyst' is not defined, but counsel considers that it generally refers

	to conduct by which a person presents itself as acting in the capacity of a Research Analyst. This includes undertaking activities that would give an impression to any reasonable person that the entity/individual providing Regulated Research Services is a Research Analyst/Research Entity. Hence, if the OFI markets its own capabilities with respect to Regulated Research Services, this will trigger the registration requirements. However, if the OFI were to market Regulated Research Services offered by a third-party service provider without holding itself out as the provider of such services, the SEBI registration requirement would not be triggered for the OFI (although the SEBI registration or other compliance requirements may apply to the third-party service provider depending on the facts). In addition, under the Research Analyst Regulations, any person outside India engaged in issuance of Research Reports or research analysis in respect of Securities listed or proposed to be listed on a stock exchange <u>in India</u> is required to enter into an agreement with a SEBI registered Research Analyst. The Research Analyst Regulations do not specify the scope and extent of the agreement or when the requirement to enter into such an agreement will be triggered. The General Advice Exemption (as described above in the discussion of the IA Regulations) is also available under the Research Analyst Regulations. Distinction between marketing to retail clients versus other clients. While the regulatory framework for the marketing/provision of IMAS is substantially the same for retail clients and non-retail clients, Indian regulators typically take a more proactive approach towards safeguarding interests of retail clients. Accordingly, any marketing activities undertaken by an OFI aimed at retail clients would be subject to greater scrutiny. Therefore, if the OFI undertakes marketing activities aimed at retail clients, it would be recommended that the OFI establishes a place of business in India for carrying out marketing activities or otherwise use a licensed intermediary (on a principal-to-principal basis).
(c) With reference to sections (a) and (b) above, if possible, please provide a definition of “the public” as such term is interpreted in your jurisdiction. For example, “the public” are those investors that are not “professional investors”. Please refer to section 6.2(c) if applicable.	In context of the IMAS, the public would mean any person in India. Therefore, marketing and sale of IMAS, to public or marketing or sale through private placement is not relevant. Please note that in case of provision of Investment Advice by Indian advisers, the public will also mean non-resident Indians and persons of Indian origin.
(d) If the answer to section (b) above is “No”, are there certain requirements that the OFI can fulfil so that marketing/selling by the OFI of Investment Management & Advisory Services to the public in your jurisdiction is permitted?	Please refer to Section 6.3(b). <u>IMAS that fall into Regulated Services</u> The OFI should limit itself to the provision of IMAS with respect to offshore securities and not establish a place of business in India for undertaking such services. Provided the provision of the services is restricted in this way, except in case of Investment Advice, it should be possible to

	market them in India. The OFI should also comply with the Presence in India Rule, if this is triggered. <u>IMAS that fall into Investment Advice</u> The OFI should limit itself to the marketing and provision of Investment Advice with respect to offshore securities and structure its activities so as not to trigger the Presence in India Rule. See further above at 6.3(b). <u>Research Analysts</u> The OFI should take care not to act as a Research Analyst/Research Entity or hold itself out as a Research Analyst (which includes marketing/provision of Regulated Research Services) in India as these activities would trigger the SEBI Registration Requirement. See further at 6.3(b).
(e) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services to the public and are there any particular requirements that apply in connection to such documents?	Where an OFI structures its marketing/selling activities in respect of IMAS to avoid triggering a requirement to register with SEBI or to register with the RoC in accordance with the Presence in India Rule (see section 6.3(b) and (d) above for further information), written marketing materials should be provided in English as a matter of market practice.
(f) Where pursuant to section 6.3(d) above it is possible to market/sell Investment Management & Advisory Services to the public in your jurisdiction, is it recommended or mandatory to include certain disclaimers/wording in the written marketing materials? If so, please provide recommended wording in Section C of Appendix 3 of this Memorandum.	If the IMAS are provided outside India with respect to offshore securities (i.e. offshore securities which have no underlying Indian securities for e.g. Global Depositary Receipts), such services are unlikely to be within the regulatory purview of SEBI. If any marketing is done in India for such IMAS (other than for Investment Advice, in respect of which marketing in India by the OFI may also trigger the SEBI registration requirement), it is recommended that the OFI disclaims that it is not eligible and does not propose to provide such IMAS with respect to Indian securities and that the services will not be provided in India. It should also be clarified that marketing material is only for information purposes and nothing in the marketing material should be construed as Investment Advice or Regulated Research Services. The OFI should also include disclaimer wording in relation to the Exchange Control Restrictions and disclaiming liability for contravention of Indian regulations by clients. Disclaimer wording is also recommended to be used where an OFI has executed any orders/transactions outside India for an Indian client. Please refer to language in Appendix 3.A. below.

7. PRIVATE PLACEMENT REGIME

Questions	Answers
7.1 Private Placement Regime (Funds)	
(a) Is active marketing/selling by an OFI of interests in a Fund (whether Open-Ended or Closed-Ended) to investors in your jurisdiction via a private placement regime permitted? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	To avoid the risk of applicability of the Rule on Collective Investment Schemes, it would be recommended that private placement is preferably based on reverse solicitation and the marketing in India is limited to the private offering documents/private meetings with specific investors i.e. high net worth individuals, institutional investors (including Qualified Institutional Buyers) and corporations to avoid scrutiny. For more analysis including guidance on additional conditions that should be met, see section 5(a)(i) above. Given that it is advised that Funds only be privately placed on the basis of reverse enquiries, it is not possible to confirm that active marketing/selling of Funds by OFIs to investors in India is permitted. Also, the Presence in India Rule will continue to apply. See section 6.2(b) above.
(i) the impact (if any) of the marketing/sale being undertaken in respect of an Open-Ended or a Closed-Ended Fund. Where the rules of the private placement regime distinguish between Open-Ended or Closed-Ended Funds, please outline how the rules of your jurisdiction define an Open-Ended or a Closed-Ended Fund.	Not relevant for Indian jurisdiction. There is no impact on the analysis applicable to the marketing and selling of Funds by an OFI in India depending on whether the Fund is Open-Ended or Closed-Ended.
(ii) the impact (if any) of the marketing/sale being undertaken in respect of a Fund regulated in a country other than your jurisdiction e.g. 1940 Act Fund, UCITS Fund.	There is no impact on the analysis of marketing/sale undertaken in respect of a Fund regulated in a country other than India e.g. 1940 Act Fund, UCITS Fund
(iii) available exemptions which permit marketing/sale of Funds to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include a discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	Please see section 5(a) for guidance on privately placing funds without triggering the Public Offer Rule or the Rule on Collective Investment Schemes. No other exemption is available on the stated grounds.

(iv) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the investor is incorporated, domiciled, has employees in your jurisdiction).	The relevant criteria would be presence in India. For non-individuals, the criteria would be the place of incorporation or a place of business in India. For individuals, the relevant criteria would be presence in India.
(v) any sensitivities depending on whether the investor is a potential or an existing client.	None
(b) Are there registration/notification/approval/licensing requirements which apply in respect of a Fund before it can be marketed/sold to investors in your jurisdiction? Please outline what activity will trigger such requirements and the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website).	If the Funds are sold on the basis of private placement, the Fund does not require registration in India. However, it is preferable that the Fund is not actively marketed in India and the subscription is limited to high net worth individuals, institutional investors and corporations to avoid scrutiny. For more analysis including guidance on additional conditions that should be met, see section 5(a)(i), above. The Presence in India Rule will apply independently. Please refer to Section 6.2(b) with respect to the trigger for the Presence in India Rule and Section 6.2(d) for compliance with Presence in India Rule.
(i) Please outline any applicable time periods (e.g. the amount of time between the submission of an application and the issuance of an approval)	Please refer to Section 6.2(d) for compliance with Presence in India Rule. Initial registration must be done within 30 days of the rule being triggered.
(ii) Are any fees payable, whether related to the: (A) initial notification/registration; or (B) on an ongoing basis?	Please refer to Section 6.2(d) for compliance with Presence in India Rule. The filing fees for registration of documents vary depending on the documents but are in any case nominal. On an ongoing basis, a company is required to file certain forms for documents such as yearly audited financials, statement of foreign assets and liabilities, etc. The cost of filing such forms is nominal.
(iii) Please could you provide link to the local regulator's website (even if in local language only) where information and/or notification/approval forms are set out for marketing a Fund via the private placement regime.	https://www.rbi.org.in/ http://www.mca.gov.in/ https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/rules.html (select Chapter 22 from the drop down and click "Go")
(iv) Is there a requirement as to the language the Fund documentation needs to be in when marketing/selling pursuant to the private placement regime and are there any particular requirements that apply in connection to such documents?	See section 6.2(d)(v).

(c) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling a Fund in your jurisdiction? Please outline the practical steps required to fulfil any such requirements in particular: (i) please provide a link to relevant forms/information on the relevant regulator's website) (even if in the local language only); and (ii) are there any possible exemptions from such requirements?	If the OFI markets or sells offshore securities on the basis of private placement, it does not require registration in India. However, it is preferable that the Fund is not actively marketed to the public in India and the subscription is limited to high net worth individuals, institutional investors (including Qualified Institutional Buyers) and corporations to avoid scrutiny. For more analysis including guidance on additional conditions that should be met, see section 5(a)(i), above. The Presence in India Rule will apply independently. Please refer to Section 6.2(b) with respect to the trigger for Presence in India Rule and Section 6.2(d) with respect to compliance with the Presence in India Rule.
(d) (i) Is it: (A) necessary; or (B) permitted to use a local intermediary in order to market/sell interests in a Fund to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	
(A) a licensed third party intermediary;	Not necessary. Also, engaging a third-party intermediary in relation to marketing/selling of interests in a Fund would not be relevant. Even if an intermediary is engaged for marketing/selling of a Fund, the marketing/selling will be considered to be done by the OFI. In practice it is not possible to actively market a foreign Fund in India, even by appointing a locally licensed intermediary to conduct the distribution.
(B) an unlicensed local third party intermediary; or	Please refer to Section 7.1(d)(i)(A), above.
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	Please refer to Section 6.2(b) with respect to the trigger for Presence in India Rule and Section 6.2(d) for compliance with Presence in India Rule. However, even where these rules are complied with it is not possible to actively market a foreign Fund in India.
(ii) Where the key entity marketing/selling the Fund in your jurisdiction is in compliance with local licensing requirements, is it permitted for the sub-advisor/manager of the Fund to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction?	It is not clear from the applicable regulations whether such sub-advisor/ manager of the Fund can participate in marketing activities. In our view, if the points covered in (i), (ii) and (iii) below are made clear to the clients in India, the risk of SEBI / RBI requiring the sub-advisor to get a license in India will be low; however, such risk cannot be completely negated: (i) it is made clear that the sub-advisor is not permitted to conduct investment business in India; (ii) the sub-advisor is only attending in the capacity of sub-advisor of the Fund; and

For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	(iii) the sub-advisor only provides information on the investment strategy followed by the Fund. The locally licensed entity should not act as the OFI's agent in India. Use of an intermediary on an agency basis (rather than on a principal-to-principal basis) may trigger the Presence in India Rule.
(e) Are there any other requirements (including any ongoing requirements) in order to comply with the rules/guidance applicable to the private placement regime in your jurisdiction for Funds not dealt with elsewhere in this Part B of the Memorandum? For example, are there any particular requirements that apply to a special category of investor in your jurisdiction which an OFI should bear in mind before marketing to such investors (i.e. based upon an investor being an insurance company, a sovereign wealth fund, an endowment, a foundation or a pension fund). Please do not refer to requirements applicable to retail investors which are dealt with in section 6 of this Memorandum.	No.
(f) Would your answer to question 7.1 differ if interests in the Fund being marketed/sold constituted the re-sale of existing interests (i.e. a secondary offering) rather than the offering/placement of a new issue?	Please see comment under Section 6.2(e).
UCITS Funds	
(g) Please confirm whether your response to section 5(a) would apply where the unsolicited approach is made in respect of a UCITS Fund.	Yes.
(h) Where it is possible to market/sell a Fund pursuant to a regime described in Section 7.1(a) or 6.2(d), would the type of Fund that can be marketed/sold include a UCITS Fund?	There is no separate recognition for UCITS Funds and therefore, our analysis applicable to the marketing and selling of Funds by an OFI in India as discussed elsewhere in this Memorandum would also apply to UCITS Fund.
(i) If the answer to 7.1(h) is "yes", please briefly outline or cross-refer to the relevant section if the information is contained elsewhere in this Memorandum:	Please refer to discussion in section 6 regarding marketing/selling to public and section 7 regarding the private placement regime.
(i) The notification/approval process (if any);	No registration is required for a Fund, including a UCITS Fund, where it is sold on the basis of a private placement. However, permitted private placement should only be done following a reverse enquiry and then only in compliance with the Conditions for Permitted Private Placement of CIS.

	The Presence in India Rule will apply independently. Please refer to Section 6.2(b) with respect to the trigger for Presence in India Rule and Section 6.2(d) for compliance with Presence in India Rule.
(ii) Timescales;	Regarding the Presence in India Rule - initial registration must be done within 30 days of the rule being triggered.
(iii) Costs, including any fees: (A) initially payable; and (B) payable on an ongoing basis;	Regarding the Presence in India Rule - The filing fees for registration of documents vary depending on the documents, but are in any case nominal. On an ongoing basis, a company is required to file certain forms for documents such as yearly audited financials, statement of foreign assets and liabilities, etc. The cost of filing such forms is nominal.
(iv) What language does the Fund documentation need to be in;	All documents required to be filed with the RoC should be in English, and where any such document is not in English, a duly certified English translation of such document should be filed. Documents translated in India are to be authenticated by an advocate, attorney or pleader entitled to appear before any High Court or an affidavit, of a competent person having, in the opinion of the RoC, an adequate knowledge of English language and the language of the original document. Documents translated outside India are to be authenticated with the signature and seal of the official having custody of the original or a notary (public) of the country where the company is incorporated. Where the company is incorporated in a country outside the Commonwealth, the signature or seal of the certifying person shall be authenticated by a diplomatic or consular officer empowered in this behalf under section 3 of the Diplomatic and Consular Officers (Oaths and Fees) Act, 1948, or where there is no such officer, by any of the officials mentioned in section 6, of the Commissioners of Oaths Act, 1889, or in any relevant legislation for the said purpose.
(v) Whether a local presence is required;	No
(vi) Whether local agents and/or distributors are required; and	No
(vii) Initial and ongoing filing requirements.	Yes, the initial filing in respect of the Presence in India Rule as well as the associated annual filings. See 6.2(d) for more detail.
(j) Where it is possible to market/sell a UCITS Fund pursuant to the regime described in Section 7.1(a) or 6.2(d) in your jurisdiction are there any registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/selling the UCITS Fund in your jurisdiction?	Yes, see detail regarding the Presence in India Rule elsewhere in this Memorandum.
(k) Where it is possible to market/sell a UCITS Fund pursuant to a regime described in Section 7.1(a) or 6.2(d) in your jurisdiction, is	See section 6.2(h) and recommended disclaimer wording at Appendix 1.A.

it **recommended** or **mandatory** to include certain **disclaimers/wording** on the written marketing materials.

If so, please provide recommended wording in **Section A** of **Appendix 1** of this Memorandum.

7.2 Sensitivities based on Structure and/or Investment Strategy (Funds)

What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that **only** apply to **certain sorts of Fund** when they are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum in which case please include a cross-reference to the applicable response.

(a) Are there particular **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund is **structured** as:

Please indicate your response by answering Yes/No for each type of fund structure.

OPEN-ENDED FUND

	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
corporate (unlisted)	No	
corporate (listed on an exchange including an ETF)	No	Although there are no additional restrictions applicable to the marketing/selling of offshore ETFs, note that Indian mutual funds are subject to limits on their investments in overseas ETFs.
limited partnership	No	
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units /shares are tokenised	No	

CLOSED-ENDED FUND

	Yes/ No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
corporate (unlisted)	No	
corporate (listed on an exchange including an ETF)	No	Although there are no additional restrictions applicable to the marketing/selling of offshore ETFs, note that Indian mutual funds are subject to limits on their investments in overseas ETFs.
limited partnership	No	
contractual	No	
trust	No	
sub-fund of umbrella	No	
master/feeder	No	
Fund whose interests/units /shares are tokenised	No	

other	No	
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other	No	
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(b) Are there particular additional **requirements or restrictions** which apply where an OFI wishes to market/sell a Fund in your jurisdiction where such Fund's **investment strategy** is listed below, or involves investments in, those types listed below.

Please indicate your response by answering Yes/No for each type of fund investment or strategy.

OPEN-ENDED FUND			CLOSED-ENDED FUND		
	Yes/No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.		Yes/No	If the answer is "Yes", please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	No		hedge fund strategy	No	
private equity investments	No		private equity investments	No	
real estate investments	No		real estate investments	No	
infrastructure investments	No		infrastructure investments	No	
debt or equity instruments	No		debt or equity instruments	No	
derivative investments	No		derivative investments	No	
fund of funds strategy	No		fund of funds strategy	No	
environmental, social and governance (ESG) strategy	No		environmental, social and governance (ESG) strategy	No	

crypto-asset strategy	No, however see comments	An Indian fund dealing in crypto assets needs to additionally comply with requirements set out under the Prevention of Money Laundering Act 2002 (PMLA). Under the PMLA, such funds are required to undertake <i>inter alia</i> verification of identity of its clients, maintain records of the transactions, its clients and due diligence. In Counsel's view, an offshore fund investing in offshore crypto assets is unlikely to be brought within the purview of PMLA. However, the government is currently contemplating regulating the virtual digital assets/ crypto assets from a securities exchange/ foreign exchange perspective. The impact of any such regulations on funds investing in crypto-assets will need to be considered.		crypto-asset strategy	No, however see comments	An Indian fund dealing in crypto assets needs to additionally comply with requirements set out under the Prevention of Money Laundering Act 2002 (PMLA). Under the PMLA, such funds are required to undertake <i>inter alia</i> verification of identity of its clients, maintain records of the transactions, its clients and due diligence. In Counsel's view, an offshore fund investing in offshore crypto assets is unlikely to be brought within the purview of PMLA. However, the government is currently contemplating regulating the virtual digital assets/ crypto assets from a securities exchange/ foreign exchange perspective. The impact of any such regulations on funds investing in crypto-assets will need to be considered.
Sharia compliant strategy	No			Sharia compliant strategy	No	
private credit/non-bank lending strategy	No			private credit/non-bank lending strategy	No	
other	Yes	Pursuant to the FPI Regulations, a Fund which is majorly owned by Indian residents, non-resident Indians and persons of Indian origin will not be allowed to take the foreign portfolio investment route in India. Therefore, it is recommended that if Fund's investment strategy involves portfolio investment in India (i.e. the purchase of		other	Yes	Pursuant to the FPI Regulations, a Fund which is majorly owned by Indian residents, non-resident Indians and persons of Indian origin will not be allowed to take the foreign portfolio investment route in India. Therefore, it is recommended that if Fund's investment strategy involves portfolio investment in India (i.e. the purchase of domestic securities in India), it considers the extent of

		domestic securities in India), it considers the extent of investment it should receive from Indian residents, non-resident Indians and persons of Indian origin.
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		investment it should receive from Indian residents, non-resident Indians and persons of Indian origin.
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7.3 Private Placement Regime (Investment Management & Advisory Services)		
(a)	Is it possible for an OFI to actively market/provide Investment Management & Advisory Services to investors in your jurisdiction and, if so, on what basis? Please note that the provision of the Investment Management & Advisory Services of Investment Advice and Arranging are specifically dealt with separately in sections 8.8 and 8.9. It is therefore not necessary to repeat this information here. In preparing your answers please <u>ensure that your analysis covers the following</u> (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Please refer to Section 6.3(b). The same restriction as applicable to marketing and provision of IMAS to public will apply.
(i)	available exemptions applicable to the marketing or provision of Investment Management & Advisory Services to investors (e.g. based on type of investor, minimum investment amount, small number of investors, existing customer, tolerated practice, etc). If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please include discussion of any exemptions available to individual investors on the basis that they are high net worth/sophisticated. Please comment on both formal “black-letter law” exemptions and accepted practice.	The General Advice Exemption and the Widely Available Medium Exception operate as exceptions from the SEBI Registration Requirement in respect of Regulated IA Services. The General Advice Exemption (but not the Widely Available Medium Exception) is also available in respect of the service of acting as a Research Analyst/Research Entity or Holding Oneself Out as a Research Analyst. See further at section 6.3(b), above. No other exemption on the stated grounds will apply. However, with respect to the applicability of the Presence in India Rule in relation to marketing of IMAS (except Investment Advice), it may be possible if such marketing is done by independent contractors (appointed on a principal-to-principal basis) in India. This would avoid the OFI having to comply with the Presence in India Rule when marketing Regulated Services. It may also be possible for an OFI to appoint an independent contractor to carry out marketing activities in relation to Investment Advice and Regulated Research Services (on a principal-to-principal basis) in order to avoid triggering the Presence in India Rule. However, in order to do

	so, OFI should be careful that the independent contractor markets the Investment Advice and Regulated Research Services as its own advice and research (respectively).
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining how the private placement regime applies (e.g. the investor is incorporated, domiciled, has employees in your jurisdiction).	Please see our comment under Section 6.3(c).
(iii) any sensitivities depending on whether the investor is a potential or an existing client.	No.
(b) Are there registration/notification/approval/licensing requirements which apply in respect of the OFI marketing/providing Investment Management & Advisory Services to investors in your jurisdiction? Please outline the practical steps required to fulfil any such requirements (including links to relevant forms/information on the relevant regulator's website) plus any possible exemptions from such requirements.	Please refer to our comment in Section 6.3(b) in relation to OFI marketing/providing IMAS to investors in India. An OFI will be unable to market or provide Investment Advice and provide other IMAS with respect to domestic (and on a conservative view, offshore) securities in India without establishing a place of business in India and obtaining a registration from SEBI for such services. Even where there SEBI Registration Requirement is not triggered, the OFI will still need to consider the Presence in India Rule. With respect to IMAS provided outside India with respect to offshore securities, taking a practical view, there would be no requirement licensing/registration requirement in India.
(c) (i) Is it: (A) necessary ; or (B) permitted to use a local intermediary in order to market/provide Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? Please consider the position in relation to:	
(A) a licensed third party intermediary;	In terms of the 2013 Companies Act, every foreign company (such as an OFI) that establishes a place of business in India through an agent and conducts any business activity in India needs to register itself as a foreign company having a place of business in India with the relevant RoC in India. Such companies are also subject to certain compliance requirements such as filing of annual accounts and returns with the RoC. From a practical perspective, this requirement should not apply to a case where a licensed local intermediary is acting as an independent contractor (i.e. on a principal-to-principal basis) rather than an agent of the OFI. Please refer to comment under Section 7.3(a)(i).

(B) an unlicensed local third party intermediary; or	Please refer to comment under Section 7.3(c)(i). Where the third-party is unlicensed , it will not relieve the OFI of its RoC/RBI registration/approval requirements. Using an unlicensed local third party (including unregistered/unauthorised “finfluencers”) is not recommended.
(C) a branch, representative office or other form of regulated place of business of the OFI in your jurisdiction.	Please refer to Section 6.2(b) with respect to the trigger for Presence in India Rule and Section 6.2(d) for compliance with Presence in India Rule.
(ii) Where the key entity marketing/selling the IMAS in your jurisdiction is in compliance with local licensing requirements, is it permitted for a sub-advisor of an investment strategy e.g. sub-advisor of a Managed Account, to participate in the marketing activities (e.g. via Fly-In Meeting, telephone call, email) without itself being licensed in your jurisdiction? For example, can the sub-advisor/manager participate in the marketing/selling activities where the locally licensed entity acts as its chaperone?	It is not clear from the applicable regulations whether such sub-advisor/ manager of a Managed Account, can participate in marketing activities. In our view, if the points covered in (i), (ii) and (iii) below are made clear to the clients in India, the risk of SEBI / RBI/ RoC requiring the sub-advisor to register in India will be low, however, such risk cannot be completely negated: (i) it is made clear that the sub-advisor is not permitted to conduct investment business in India; (ii) the sub-advisor is only attending in the capacity of sub-advisor of the Fund; and (iii) the sub-advisor only provides information on the investment strategy followed by the Fund. The locally licensed entity should not act as the OFI’s agent in India. Use of an intermediary on an agency basis (rather than on a principal-to-principal basis) may trigger the <u>Presence in India Rule</u> .
(d) Is there a requirement as to the language the written marketing materials need to be in when marketing/providing Investment Management & Advisory Services pursuant to the routes described in this section 7.3 and are there any particular requirements that apply in connection to such documents?	See section 6.3(e).
(e) Are there any other requirements (including any ongoing requirements)?	No.

7.4 Sensitivities based on Investment Strategy (Investment Management & Advisory Services)		
What we are seeking to draw out in this section is whether there are any particular requirements or restrictions that only apply to certain sorts of Investment Strategy when Investment Management & Advisory Services are marketed or sold in your jurisdiction. You may have already dealt with these issues elsewhere in the Memorandum, in which case please include a cross-reference to the applicable response.		
(a) Are there particular additional requirements or restrictions which apply where an OFI wishes to market/provide Investment Management & Advisory Services using the private placement regime in your jurisdiction where the investment strategy is listed below, or involves investments in those types listed below. Please indicate your response by answering Yes/No for each type of investment or strategy.		
INVESTMENT MANAGEMENT & ADVISORY SERVICES		
	Yes/No	If the answer is “Yes”, please include a brief description and/or cross-reference to discussion of the applicable requirement or restriction.
hedge fund strategy	No	
private equity investments	No	
real estate investments	No	
infrastructure investments	No	
debt or equity instruments	No	
derivative investments	No	
fund of funds strategy	No	
environmental, social and governance (ESG) strategy		
Sharia compliant strategy	No	
private credit/non-bank lending strategy	No	
other	No	

7.5 Investment Management & Advisory Services in respect of Single Investor Vehicles, Segregated Managed Accounts and Family Offices	
This question focuses on investment structures and investment vehicles which may fall <u>outside</u> the definition of Fund.	
(a) Please confirm whether the marketing or provision of the following investment structures/investment vehicles will be caught by the rules applicable to the marketing/provision of Investment Management & Advisory Services in your jurisdiction OR whether other domestic fund or marketing/offering restrictions will apply: (i) a Single Investor Vehicle, which makes investments into financial instruments or assets. (ii) a Segregated Managed Account, which makes investments into financial instruments or assets. (iii) a family office undertaking, which makes investments into financial instruments or assets. If other restrictions or rules apply, please outline (briefly) the position under local law and outline the key exemptions (if any).	The Indian legal regime does not specifically deal with such investment structures/investment vehicles. However, generally speaking, the provisions related to Funds will also apply to marketing/selling any securities/units of such investment structures/investment vehicles in addition to the provisions related to IMAS discussed elsewhere in this Memorandum.

8. MARKETING ACTIVITIES

Questions	Answers
The purpose of sections 5, 6 and 7 of Part B of this Memorandum is to identify to whom Funds or Investment Management & Advisory Services can be marketed or sold in your jurisdiction. This section 8 addresses particular requirements which may apply depending on how such products or services are marketed or sold. This section 8 also includes some questions on specific scenarios that may be relevant to an OFI in relation to its cross-border activities.	
8.1 Written Materials	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through the distribution of written marketing materials (whether by email or by physical delivery of documents)?	Funds (including UCITS Funds): Please refer to the Public Offer Rule (discussed in Section 5(a)(i), the Rule on Collective Investment Schemes (discussed in Section 5.1(a)) and the Presence in India Rule (discussed in Section 6.2(b)). Please also refer to our discussion on IMAS in Section 6.3(b). Marketing and selling of Funds by an OFI through the distribution of written marketing materials will be subject to the Public Offer Rule, the Rule on Collective Investment Schemes and the

	Presence in India Rule (especially if they are “Frequent”) and in practice can only be done following a reverse enquiry. There is no language recommended under Indian laws for marketing documents. IMAS: Marketing and selling of IMAS through the distribution of written marketing material will be subject to the Presence in India Rule and the restrictions on marketing/providing IMAS and registration requirements with SEBI. In practice it may be possible to distribute marketing materials in relation to Portfolio Management, Arranging and Execution of Orders on Behalf of Clients (i.e. which may fall within the scope of Regulated Services) provided the conditions discussed in section 6.3(e) are met. It is not, however, possible for an OFI to market Investment Advice services in respect of domestic (and on a conservative view, offshore) securities in India or to Indian residents without establishing a place of business in India and obtaining a registration from SEBI for such services. See further at section 6.3(b), including for details of exemptions/exceptions to these requirements. There is no language recommended under Indian laws for marketing documents.
Please could you confirm whether your above response would apply to the following types of written marketing materials and, if applicable, note any particular considerations that would apply to that particular type of document:	
(i) offering memorandum (may also be referred to as the “private placement memorandum” or “information memorandum”);	Funds (including UCITS Funds): If the offering memorandum is: • sent to Qualified Institutional Buyers and other high net worth individuals, institutional investors and corporations; • sent on reverse enquiry basis and in compliance with the other Conditions for Private Placement of CIS, then the Rule on Collective Investment Schemes would not apply. The OFI should also avoid triggering the Public Offer Rule. See further at section 5(a)(i) above. IMAS: N.A.
(ii) marketing presentation (may also be referred to as the “pitch book” or “marketing deck”). Such presentations may include: • Investment strategy/philosophy/process	Funds (including UCITS Funds): Same response as in the case of offering memorandum mentioned in 8.1(a)(i) above. IMAS: Marketing and selling of IMAS through the distribution of written marketing material will be subject to the Presence in India Rule and the restrictions on marketing/providing IMAS and registration requirements with SEBI. However, the above requirements would not be triggered if

• Biographies of key investment team members • Track record • Case studies of specific investments • Operational infrastructure/list of service providers terms	such marketing presentation was generic in nature and does not pertain to a specific Regulated Service. In relation to the Presence in India Rule, physical delivery of hard-copy materials is permitted including at fly-in meetings (providing such meetings are infrequent and the guidance at section 8.3 is adhered to). Written materials delivered electronically are unlikely to be viewed negatively by regulators provided the activity is infrequent. See further at section 6.2(b).
(iii) tear sheet (may also be referred to as the “fact sheet” or “profile”) Such tear sheets may include: • A brief description of strategy • Summary statistics • Terms • Service providers Please indicate if the analysis differs depending whether or not the tear sheet includes the name of a specific Fund(s) or services being marketed.	Funds (including UCITS Funds): The above response in respect of marketing presentation would apply to a tear sheet offering Funds to an Indian investor. IMAS: The above response would apply to a tear sheet offering IMAS to Indian investors about Indian securities and on a conservative view, to offshore securities as well. Where the tear sheet does not pertain to a specific security and falls within the exception provided under the IA Regulations for the general information, it may not trigger the SEBI Registration Requirement.
(b) Is it recommended or mandatory to include certain disclaimers/warnings in the written marketing materials? If so, please specify which type of written marketing materials will require such a disclaimer/warning, e.g. the offering document, presentations, pitch books, emails? Please provide recommended wording in Section A of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum, along with an indication of whether such wording is mandatory or recommended	Funds (including UCITS Funds): Please see Appendix 1.A. for our recommended wording in relation to marketing materials for a Fund. It is recommended that the disclaimer is provided in all stand-alone document in relation to subscription of the Fund particularly the offering document. While a more liberal view could be taken with respect to follow-up correspondence documents/communications when such documents can be linked to offering document, it is recommended that the disclaimer is included even in such follow-up documents. IMAS: In relation to marketing materials for IMAS with respect to offshore securities, please refer to Appendix 3.A. While it is not necessary to have the disclaimer in all documents/communications, it should be ensured that by reference the disclaimer covers all the marketing materials. None of disclaimers/warnings are mandatory. Note that a disclaimer by itself would not <i>per se</i> grant immunity if there is an alleged violation of underlying regulations in the opinion of the regulator. However, the disclaimer would be a supplementary defence in the instance of any regulatory action (provided that the OFI has not breached the regulations e.g. by providing Investment Advice on domestic securities without SEBI-registration) and could also support a finding of bona fide conduct by the respective OFI.

(c) Are there rules regarding the form/content of written marketing materials (including as to how performance data should be portrayed)? Please also consider whether these rules distinguish between the type of investor that such materials will be presented to?	Funds (including UCITS Funds) and IMAS: Please refer to our earlier sections on the permissibility of an OFI in marketing/selling of Funds and IMAS in India. There are no rules regarding the form/content of written marketing materials that would be applicable to the permitted activities of an OFI other than as described at section 5(b)(i).
(d) Does the regulator of your jurisdiction require the OFI to retain a record of the recipients of distributed marketing materials?	No, not where making a private placement of offshore funds.
(e) Are there any other considerations that an OFI should bear in mind before disseminating written marketing materials in your jurisdiction?	The general tort law, contract law and criminal law on issues such as cheating, misrepresentation and fraud would continue to apply.
8.2 Telephone	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through marketing by telephone?	Funds (including UCITS Funds and IMAS): Please refer to Section 8.1 (a) above and Section 8.2(b) below.
(b) Do specific additional requirements or restrictions apply in respect of cold calling of such investors?	Funds (including UCITS Funds and IMAS): In addition to the other general conditions applicable to marketing/selling of Funds and IMAS, the following would be relevant in case of telephone marketing that constitutes unsolicited commercial communication. TRAI Regulations The TRAI Regulations do not, at the moment, cover cross-border marketing by telephone in respect of Funds and IMAS and thus, no licence/registration requirements exist at present under either the TRAI Regulations or any other law or regulation. Only domestic tele-marketing activities are currently regulated. It is possible that in the future the regulations may be made applicable to OFIs by way of amendment of the TRAI Regulations (in response to consumer complaints in respect of tele-marketing). The position should be reconfirmed before engaging in any cross-border tele-marketing, although we note that as at the date of this Memorandum there are no proposed amendments. However, even though the TRAI Regulations do not currently cover cross-border marketing given the conservative attitude of the TRAI and the fact that telemarketing activities fall within the ambit of the Presence in India Rule, the recommendation (<i>from a conservative perspective</i>) would be to establish a place of business in India and obtain a TRAI licence or conduct telephone marketing through a licensed intermediary on a principal-to-principal basis for frequent unsolicited Telephone Marketing activities in respect of the permitted IMAS. With respect to marketing of Funds,

	engaging a local intermediary may not be relevant as the Rule on Collective Investment Schemes will continue to apply and effectively confine activities to responding to reverse enquiries only. Under the TRAI Regulations, unsolicited telephone marketing to existing clients within the scope of the existing relationship is permitted. Unsolicited telephone marketing to potential clients may be permitted under the TRAI Regulations depending on whether the OFI has the potential client's "inferred consent". It is pertinent to note that a concept of "inferred consent" has been introduced in the TRAI Regulations as an exemption to the blocking preferences of customers to be complied with by a sender (Inferred Consent Relaxation). The TRAI Regulations provide that commercial communications may be sent where prior relationship exists between sender and recipient, within the scope of their relationship. Broad principles of identifying such a relationship have been provided as there may be a wide variety of scenarios where such communications are required to be allowed, which would be too prescriptive to describe in the regulations. The relationship may either be on account of business or commercial reasons, social reasons or it may be because of purchase made by the recipient or transactions entered into between sender and recipient. Such communication may be limited to scope of inferred consent where consent can be reasonably inferred from the customer's conduct or the business and the kind of relationship between the individual and the sender. However, commercial communications on basis of such relationship should be limited to a certain period. Keeping in view the variety of scenarios, this may not extend beyond twelve months as inferred consent. Misuse of this provision may be controlled on basis of reports and complaints against entities, and appropriate action may be taken considering complaints from unique recipients. In case of enquiry from customer about the product or services, this time period may be shorter and limited only to three months. Thus, marketing by telephone of Funds or IMAS to an investor in India which is instigated by the OFI (i.e. "cold-calling") where the recipient of the telephone marketing is an existing client of the OFI, the aforementioned Inferred Consent Relaxation should apply as an exception to a customer's preference of fully blocking unsolicited commercial communication.
(c) Is it recommended or required to make certain oral disclaimers/warnings during the course of the telephone call? If so, please describe the requirements that apply. Please also provide recommended wording in Section B of each of Appendix 1, Appendix 2 and Appendix 3 of this Memorandum.	Funds (including UCITS Funds and IMAS): See Appendix 1.B and Appendix 3.B.
(d) Are there any other considerations that an OFI should bear in mind before conducting telephone calls with prospective investors in your jurisdiction? For example, is it mandatory that such telephone calls be recorded?	In case an OFI makes repeated unsolicited calls to Clients, the OFI may risk facing a tort action for nuisance and possibly, for breach of privacy. In the event the telephone calls are recorded, the clients must be informed of the fact of recording.

8.3 Fly-In Meetings	
(a) Can marketing/selling of a Fund or Investment Management & Advisory Services to investors in your jurisdiction be conducted through a Fly-In Meeting?	Please refer to the Public Offer Rule (discussed in Section 5 (a) (i)), the Rule on Collective Investment Schemes (discussed in Section 5.1 (a)) and the Presence in India Rule (discussed in Section 6.2 (b)). Please also refer to our discussion on IMAS in Section 6.3 (b). Funds (including UCITS Funds) While the Public Offer Rule may not apply to Fly-In Meetings if written materials are not circulated in such meetings, the Rule on Collective Investment Schemes may still apply to Fly-In Meetings if Fly-In Meetings are to actively solicit investment in Funds from the public. Hence such meetings should only be held as a result of a reverse enquiry. In relation to the Presence in India Rule, it is unclear on how the Fly-In Meetings for marketing of Funds will be interpreted. However, given the conservative attitude of the regulators, frequent Fly-In Meetings may be considered as establishing a place of business in India. What constitutes "frequent" Fly-In Marketing would depend on the facts and circumstances of each case and it is difficult to make a quantitative assessment as to what would be considered "frequent". Whether marketing activities are frequent would depend not only on the number of fly-in marketing visits but also the duration of these visits by the OFI's representatives. Our recommendation (<i>from a conservative perspective</i>) would be to obtain a registration and establish a place of business in India or to conduct fly-in marketing through an eligible intermediary (on a principal-to-principal basis) for frequent fly-in marketing activities in respect of Funds. <u>Infrequent/occasional/casual fly-ins are likely to be tolerated and are unlikely to trigger the Presence in India Rule.</u> It can be noted here that in a different context, the Bar Council of India Rules for Registration and Regulation of Foreign Lawyers and Foreign Law Firms in India, 2022 permits foreign law firms to advise Indian clients on foreign laws/ international laws without requiring such firms to obtain registration with the appropriate authority on a 'fly-in fly-out' basis i.e., if such practice in India is not for more than an aggregate of 60 days in 12 months and in compliance with certain other conditions. IMAS Please refer to Section 6.3(b) for the licensing requirements that may be triggered by provision of the Regulated Services, marketing and provision of Regulated IA Services or acting as a Research Analyst/Research Entity or holding oneself out as a Research Analyst (which includes marketing/provision of Regulated Research Services). Marketing of IMAS (other than Investment Advice and research) may not trigger SEBI's licensing requirements, but the Presence in India Rule would still apply. Please refer to our discussion above under Funds in relation to applicability of Presence in India Rule with respect to Fly-In Meetings. In addition, please note that in respect of both Funds and IMAS, the immigration rules would apply. Details of these immigration rules are outside the scope of this Memorandum.

(b) Are there any particular considerations that an OFI should bear in mind before conducting Fly-In Meetings with prospective investors? For example, is there a risk that frequent Fly-In Meetings may trigger some local licensing or regulatory requirements?	Funds (including UCITS Funds) and IMAS: Please see our comment under Section 8.3 (a).
8.4 Fly-Out Meetings	
(a) Do the licensing and regulatory requirements of your jurisdiction continue to apply to any marketing activities in connection with Funds and Investment Management & Advisory Services which take place at a Fly-Out Meeting?	In respect of Funds, no. In respect of IMAS, on a strict/conservative interpretation, marketing and provision of Investment Advice or acting as a Research Analyst/Entity or Holding Oneself Out as a Research Analyst while offshore to Indian citizens, non-resident Indians and persons of Indian origin would attract the registration requirement under the IA Regulations and Research Analyst Regulations, respectively. Also, providing IMAS outside India with respect to Indian securities may attract the SEBI registration requirements discussed under section 6.3 (b). However, from a practical perspective, except as provided above, the regulators are not likely to question provision of IMAS provided outside India.
(b) If the answer to section (a) above is “no”, are there any courses of action which could result in the requirements of your jurisdiction having extra-territorial effect? For example, would it be possible for the OFI to induce the resident to leave your jurisdiction to attend a meeting in an offshore office of the OFI without triggering the application of the licensing and regulatory restrictions in your jurisdiction?	Providing Investment Advice in India would trigger the applicability of the IA Regulations. Therefore, it is recommended that no Investment Advice is provided before the inducement to leave the Indian jurisdiction. It should be noted, however, that the inducement to attend a Fly-Out Meeting would not itself constitute Investment Advice. We would also recommend that the OFI should take care to ensure that the Public Offer Rule, the Rule on Collective Investment Schemes and the Presence in India Rule are not triggered as a result of the communication exchanged between the OFI and the investor to induce the investor to attend an off-shore meeting.
8.5 Internet/Social Media	
(a) Please outline the requirements in your jurisdiction which apply to a webpage which is targeted towards investors located in your jurisdiction (e.g. by writing it in the language of your jurisdiction or by sponsoring links generated when internet users in your jurisdiction search for particular terms via a search engine).	Both targeted and non-targeted websites may raise issues. Please refer to Section 8.5 (b).
(b) Does your jurisdiction impose requirements/restrictions in respect of webpages which have not been targeted towards investors in your jurisdiction but which are accessible from your jurisdiction?	Yes. The Indian law does not impose specific requirements/restrictions in respect of webpages which have not been targeted towards investors in India but the following would be relevant. Indian Courts have held that creating an interactive website aimed at Indian users may bring the OFI within the jurisdiction of Indian Courts on the grounds that the OFI is carrying on activities

	within the jurisdiction of Indian courts and has sufficient contacts with the jurisdiction of the court (such as concluding commercial transactions with Indian website users). In this situation, if the website offers Funds or IMAS either in relation to domestic securities or to Indian residents, Indian courts may assume jurisdiction. Hosting an interactive website may also amount to carrying out business under 'electronic mode' and thus may trigger applicability of Presence in India Rule. This would also consequently trigger, in case of Funds, the Public Offer Rule and the Rule on Collective Investment Schemes. In case of IMAS, this may also attract the applicability of SEBI regulations in relation to IMAS. That said, a website that is merely accessible in India would not by itself be sufficient to trigger Indian regulatory oversight over the owners of the website. A general marketing website not specifically targeted towards Indian investors would not be considered to be aimed or projected at India and would place the OFI outside the jurisdiction of Indian regulators and courts, provided it is 'passive'. We note for completeness that the Central Consumer Protection Authority of India (CCPA), (an authority established under the Consumer Protection Act, 2019 (CPA)), issued the Guidelines for Prevention and Regulation of Dark Patterns, which came into force on 30 November 2023. These guidelines fall under consumer laws and are outside the scope of this survey.
(c) If the answer to section (b) is “yes”, what steps could an OFI take to reduce the regulatory risk in your jurisdiction as regarding marketing materials posted on non-targeted webpages? For example, by requiring an investor or potential investor to verify suitability through acceptance of a disclaimer, provide confirmation that he is not located in your jurisdiction, by making the pages password protected or through use of a secure portal to regulate information available to users?	Yes, to establish that the website is not being used by Indian Clients to conclude transactions, it would be helpful to provide a check box and make the pages password protected. To add, it would be beneficial to have mechanisms to independently identify the location and not concluding transactions related to Funds with or provide services (particularly in relation to domestic securities) to Indian residents through websites. It is also recommended that the website has a disclaimer that the information contained in the website is for informational purposes, is not meant for Indian users, that the OFI has no business operations in India and should not be construed as Investment Advice or research. See suggested wording in Appendix 4.B.
(d) Please outline any requirements in your jurisdiction which apply to marketing activities which take place via social media (e.g. blogs, X Corp. (formerly known as Twitter), social networks (Facebook, LinkedIn), forums or photo/video-sharing platforms (e.g. YouTube, Instagram)) and which are targeted towards investors located in your jurisdiction e.g. (i) posts are written in the language of your jurisdiction or have direct relevance to investors in your jurisdiction or (ii) adverts are sponsored to appear on the user pages of investors based in your jurisdiction? Please can you consider if activities on social media would be treated differently if they were conducted by	Other than the restrictions already described in the sections above e.g. section 5(a), 6.2(b) and 6.3(b) (including the Presence in India Rule) and section 8.5(b), there are no specific licensing or regulatory restrictions for marketing activities which take place via social media. Please refer to questions 5(a), 6.2(b) and 6.3(b) for the scope of the Public Offer Rule, Rule on Collective Investment Schemes, Regulated Services and IA Regulations. Activities on social media conducted by means of direct message would be subject to the same restrictions. With regards to the Presence in India Rule, a direct message is likely to be seen in the same way as an email.

	means of a direct message to an investor in your jurisdiction as opposed to a post that can be viewed by many users of the platform including an investor in your jurisdiction.	
(e)	Does your jurisdiction impose requirements/restrictions in respect of social media content which has not been targeted towards investors in your jurisdiction but is nevertheless accessible from your jurisdiction?	Please refer to our response in 8.5(d) above. There are no specific licensing or regulatory restrictions in respect of social media content which is not targeted towards investors in India but nevertheless accessible by them.
(f)	Please set out any practical advice which OFIs should follow in order to reduce the regulatory risk in your jurisdiction regarding marketing activities conducted via social media. For example, is it recommended that all posts contain either the full recommended disclaimer or is it ok to include a link to such disclaimer instead? On X Corp. (formerly known as Twitter), is the use of images a possible solution to the problem of character limitation e.g. by posting a disclaimer as an attachment to a tweet?	While conducting any marketing activities via social media, it is recommended that a disclaimer to the effect that the communication is not meant for Indian users and the OFI is not carrying out business operations in India and that the post is for informational purposes, is not meant for Indian users, that the OFI has no business operations in India and the post should not be construed as Investment Advice or research. Please note that product/service specific content requirements as specified in our response to question 8.1 above and in the Appendices below would also need to be adhered to. To the extent possible, all posts should contain full recommended disclaimer. However, if a link to such disclaimer is provided, it should be ensured that such link is legible to the reader and contains the entire disclaimer. Practically, posting a disclaimer as an attachment to a tweet on X Corp. (formerly known as Twitter) as a possible solution to the character limitation therein will not be an issue as long as the contents of the disclaimer are clearly visible and legible. See suggested wording in Appendix 4.B.
(g)	Are there any legends, risk factors, disclosures and disclaimers which are required or recommended by local counsel for inclusion in webpages and/or social media which contain marketing materials relating to Funds and/or Investment Management & Advisory Services and which may be accessed by investors located in your jurisdiction?	Yes. It is recommended that: (i) the website carry a disclaimer to the effect that the website is only meant for informational purposes and not concluding any commercial transactions; (ii) the website is not meant to provide any investment advice or research; (iii) a disclaimer to the effect as recommended in Section 6.3(e) is included. See suggested wording at Appendix 4.B.
(h)	Please outline (or cross-refer) to any licensing/regulatory requirements in your jurisdiction which apply to virtual events/meetings (e.g. online web/video conferences/channels) involving marketing/selling activities relating to Funds and/or Investment Management & Advisory Services conducted with	Please refer to our response in Section 6.2(b) and 6.3(b). As stated therein, the 2013 Companies Act does not set out any de-minimis level of business activity that needs to be undertaken in India (whether electronically or otherwise) before an entity can be said to undertake any business activities in India.

investors in your jurisdiction (e.g. virtual roadshows, presentations or promotional events).	That said, from a practical perspective, virtual events/ meetings undertaken by non-resident entities (i.e. an OFI) outside India involving marketing/selling activities in relation to Funds and/or Investment Management & Advisory Services would not strictly fall within the scope of Indian regulators so long as the OFI does not undertake business activities in India (e.g. if activities are structured so as to fall outside the Presence in India Rule as set out below). A view can also be taken that an OFI that market/sells from outside India in response to a reverse enquiry will not trigger the Presence in India Rule. In light of the above, it is recommended that the OFI should register itself under the 2013 Companies Act if it plans to undertake any frequent marketing/selling activities of Funds and/or Investment Management & Advisory Services in India (except for such activities as the physical delivery of documents which would not fall within the scope of the definition of “Electronic Mode”). Otherwise, it should structure its activities so as to fall outside the Presence in India Rule (e.g. by restricting communications to physical delivery of documents, infrequent Fly-In Meetings, Fly-Out Meetings, occasional email contact and virtual meetings and potentially, infrequent telephone marketing). In the event the engagement with Indian clients is limited to infrequent contact and the Indian Exchange Control Regulations are complied with to close the transactions, the Indian regulators are unlikely to consider that the Presence in India Rule has been triggered.
(i) Is it recommended or mandatory to include certain disclaimers/warnings in the materials presented/disseminated by means of virtual events/meetings relating to Funds and/or Investment Management & Advisory Services?	While conducting any marketing activities, it is recommended that a disclaimer to the effect that the communication is not meant for Indian users and the OFI is not carrying out business operations in India and that information available on the post should not be construed as advice is set out along with each material. Please refer to Appendix 3 of this Memorandum where there is reference to specific Funds/services in the materials used or matters discussed in the virtual meeting or Appendix 4.C. for more general wording relevant to this specific activity.
8.6 General Marketing	
(a) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing by an OFI in your jurisdiction as follows: (i) general brand marketing that comprises the use of the OFI's corporate name, logo, slogan or design scheme; (ii) providing general information about the OFI (e.g. history, business divisions, key persons); (iii) publishing articles/giving interviews e.g. thought leadership pieces or macroeconomic analysis/market outlook; and	Other than the Presence in India Rule, which may be triggered by such general marketing activities referred to in (i)-(iv) either on a cross-border basis or at a public event in India, there are no restrictions per se on carrying out general marketing by an OFI either on a cross-border basis or at a public event in India. Please also refer to our response to question 5(a) above. No, the analysis does not depend on the type of investor that is targeted.

(iv) general marketing materials which refer to awards/customer testimonials. Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	
(b) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves general awareness-raising of product lines or service lines including discussion of general strategies (but without reference to a specific Fund or Investment Management & Advisory Service). Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	See 8.6(c) below which applies equally to general awareness raising of product/service lines.
(c) Please set out or cross-refer to any licensing and regulatory restrictions which may apply to general marketing which involves discussions which refer to particular characteristics of a Fund or Investment Management & Advisory Service (e.g. investment strategies or ideas) without referring to the name of the relevant Fund or Investment Management & Advisory Service? An example of this type of marketing would include a tear sheet which while it may not include the name of the relevant Fund or Investment Management & Advisory Service, may include a brief description of strategy, terms, summary statistics (e.g. relating to AUM, performance, risk) and/or a list of key service providers. Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	In the absence of any specific regulations, our response to section 8.6(a) does not differ if the general marketing involved discussions which refer to particular characteristics of a Fund or IMAS (e.g. investment strategies or ideas) without referring to the name of the relevant Fund or IMAS. Hence other than the Presence in India Rule, there are no restrictions per se on carrying out general marketing which includes discussions which refer to particular characteristics of a Fund or IMAS without specifying the relevant name of the Fund or service. In addition, we also note that the General Advice Exemption to the SEBI Registration Requirement in respect of Regulated IA Services and acting as a Research Analyst/Research Entity or holding oneself out as a Research Analyst (which includes marketing/provision of Regulated Research Services) will cover discussions regarding investment strategies and characteristics of particular securities/investment products without naming them.
(d) Are there any rules regarding the form/content of written marketing materials which contain the type of information referred to in 8.6(c) above e.g. tear sheets/snapshots of marketing presentations that do not refer to the name of the Fund?	No.
(e) Are there any licensing or regulatory restrictions which may apply when an employee of an OFI: (i) attends a finance-related event in your jurisdiction; or	No. The Presence in India Rule may be triggered only if such employee is conducting any business activity in India and not by merely being attending a finance-related event or being a speaker at an event.

(ii)	is a speaker at a finance-related event in your jurisdiction and discusses general trends/themes rather than a specific Fund/IMAS?	
(f)	Are there any restrictions in relation to solely socialising with prospective investors in your jurisdiction?	No. The Presence in India Rule may be triggered only if the OFI's representative is conducting business activity in India and not merely socialising.
(g)	Are there any restrictions in relation to solely distributing business cards (paper or electronic)? Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc. or whether the activity takes place remotely or at a Fly-In Meeting?	No. No.
(h)	Is it recommended or mandatory to include certain disclaimers/warnings in any general marketing materials presented/disseminated?	It is not mandatory, however, it is recommended that the disclaimers/ warnings referred to at section 8.5(a), above, are included in general marketing materials. Please see suggested disclaimers at Appendix 4.
8.7 Pre-Marketing		
(a)	Is it permitted to conduct any “ pre-marketing ” activities in respect of a Fund in your jurisdiction to assess investor appetite either: (A) before committing to any registration/notification/approval/licensing requirements; or (B) during the relevant registration/notification/ approval/licensing process? If so, please could you provide a definition of what would amount to permitted “pre-marketing” of a Fund.	In India, there are no separate registration/ notification/ approval/ licensing requirements for pre-marketing activities as such activities are generally not distinguished or recognised separately. Accordingly, all requirements including the disclaimers/ warnings set out for marketing of Funds would apply in “pre-marketing” stage also.
(b)	Where “pre-marketing” of a Fund is permitted in your jurisdiction, please could you outline the types of marketing activities which would fall within the scope of such permitted “pre-marketing”, distinguishing if relevant between:	
(i)	the types of materials that can be circulated (e.g. presentations, offering documents, subscription documents);	Please see our answer at section 8.7(a), above.
(ii)	the status of the Fund (e.g. whether established or still under formation);	Please see our answer at section 8.7(a), above.

(iii)	whether the documents are in draft or final form ;	Please see our answer at section 8.7(a), above.
(iv)	any specific “ pre-marketing ” activities to avoid on the basis that these will trigger the relevant requirements; and	Please see our answer at section 8.7(a), above.
(v)	any other relevant considerations in your jurisdiction (e.g. number or type of investor to whom the “pre-marketing” is done).	Please see our answer at section 8.7(a), above.
(c)	Are there any registration/notification/approval /licensing requirements which apply in respect of the OFI conducting pre-marketing of a Fund in your jurisdiction?	Please see our answer at section 8.7(a), above.
8.8	Investment Advice	
(a)	Is it permitted for an OFI to provide Investment Advice in relation to a Fund or Investment Management & Advisory Services to an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Please refer to Section 6.3 (b).
(i)	available exemptions which permit the provision of Investment Advice. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal “ black-letter law ” exemptions and accepted practice .	Investment Advice provided offshore with respect to offshore securities will, on a practical view, not be covered by the IA Regulations. Even if the Investment Advice pertains to domestic securities but is provided outside India, from a practical perspective, the Indian regulators are not likely to question it.
(ii)	the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Investment Advice is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	Please refer to Section 6.3 (c).
(b)	any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Investment Advice or not.	No.

(c) Does the regulatory regime in your jurisdiction applicable to the marketing/provision of Investment Advice extend to advice in relation to portfolio construction and/or manager selection? If not, please could you briefly outline how the marketing/provision of advice in relation to portfolio construction/manager selection is regulated in your jurisdiction, if at all.	Yes, investment advice extends to advice in relation to portfolio construction. Investment Advice does not extend to advice in relation to manager selection. The Portfolio Managers Regulations state that a portfolio manager is required to, before taking up an assignment of management of funds and portfolio on behalf of a client, enter into an agreement in writing with such client that clearly defines the inter se relationship and sets out their mutual rights, liabilities and obligations relating to management of portfolio. This contract would set out the portfolio manager's obligations regarding manager selection.
8.9 Arranging	
(a) Is it permitted for an OFI to provide Arranging services in relation to a Fund or Investment Management & Advisory Services with an investor in your jurisdiction and, if so, on what basis? In preparing your answer, please ensure that your analysis covers the following (or if these matters are not relevant to your jurisdiction, please explicitly state that in your response):	Please refer to Section 6.3 (b)
(i) available exemptions which permit the provision of Arranging. If an exemption is available, please set out the criteria which must be satisfied in order to utilise it. Please comment on both formal "black-letter law" exemptions and accepted practice.	Arranging services provided offshore with respect to offshore securities will, on a practical view, not be covered by the SEBI Registration Requirement applicable to merchant banking.
(ii) the relevant criteria for determining whether an investor is in your jurisdiction for the purposes of determining whether the provision of Arranging is permitted (e.g. investor is incorporated, domiciled, has employees in your jurisdiction).	Please refer to Section 6.3 (c).
(b) any sensitivities depending on whether the investor is a potential or an existing client or whether such investor solicited the Arranging or not.	No.
8.10 Subscription Documentation and Relationship Management	
Sections (a) to (c) below look at scenarios relating to the provision by an OFI to an investor of either:	

• Fund subscription documentation; or • contracts relating to the provision of Investment Management & Advisory Service(s). In relation to sections (a) to (c) please can you briefly describe any relevant restrictions or considerations that apply or, if relevant, please cross-refer to other sections of the Memorandum. Are the below scenarios permitted?	
(a) The OFI provides/sends: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) to a potential investor:	
(i) where the OFI and the investor are both in your jurisdiction (e.g. at a Fly-In Meeting); or	Position in relation to Funds (including UCITS Funds) and IMAS: Any activity undertaken by the OFI in India may trigger the RoC Registration Requirement and the OFI may also be required to seek relevant registrations under SEBI Regulations where such meetings pertain to offering IMAS in India. See at 8.9(a)(ii), below. Position in relation to IMAS: Same as above.
(ii) where the OFI is outside your jurisdiction but the investor is in your jurisdiction (e.g. the OFI sends the documentation via email/post).	Position in relation to Funds (including UCITS Funds): In respect of the Public Offer Rule and the Rule on Collective Investment Schemes, provision of Fund subscription documents or contracts pertaining to IMAS to potential investors on an unsolicited basis (i.e. active marketing) should be avoided. Provision of such documents on a reverse enquiry basis by way of private placement (see further at 5(a)(i)) is permitted. In respect of the Presence in India Rule, provision of Fund subscription documents or contracts pertaining to IMAS are provided to potential Indian investors on an unsolicited basis may trigger the RoC Registration Requirement depending on the method and frequency of delivery. For example, physical delivery (i.e. by post) will not trigger the requirement. However, frequent email marketing (including of such documents) or Fly-In Meetings will likely trigger the requirement. Provision of Fund subscription documents or contracts pertaining to IMAS in relation to Regulated Services should not trigger the SEBI registration requirements. However, the OFI should ensure that <i>provision</i> of such services takes place outside India. Further, the OFI must be careful not to be

	seen as providing a Regulated Service as part of the marketing activity. Therefore, disclaimers are recommended. Provision of Fund subscription documents or contracts pertaining to IMAS in relation to Regulated IA Services or Regulated Research Services may trigger the SEBI registration requirements. See further at 6.3(b). If the Fund subscription documents or contracts pertaining to IMAS are provided to potential Indian investors on reverse enquiry basis, from a practical perspective, a view may be taken that the RoC Registration Requirement, RBI Place of Business Rules and registration requirements under SEBI will not get triggered. However, the safest approach is to comply with these rules, particularly if the OFI wishes to undertake any frequent marketing activities. See further at 5(b)(i) and 5(c), above. Position in relation to IMAS: Same as above.
(b) The: • Fund subscription documentation; or • a contract relating to the provision of Investment Management & Advisory Service(s) is signed:	
(i) where the relevant signatories for both parties are in your jurisdiction (e.g. at a Fly-In Meeting); or	It is recommended that such contracts should be signed by the offshore service provider at an offshore location and not in India. Position in relation to Funds (including UCITS Funds): Please refer to response in 8.9(a). Position in relation to IMAS: Please refer to response in 8.9(a).
(ii) where the relevant signatories for the Fund or provider of the Investment Management & Advisory Service are outside your jurisdiction but the investor is in your jurisdiction (e.g. the signed documents are transmitted between the parties via email/fax/post/courier).	Position in relation to Funds (including UCITS Funds): Please refer to response in 8.9(a). Position in relation to IMAS: Please refer to response in 8.9(a).
(c) Will the location where documentation is signed by either party as described in either section (b)(i) or (ii) above affect whether the contract is deemed “booked” in your jurisdiction?	If both parties sign the contract in India, then the risk of Indian regulators requiring that the OFI needs to be compliant with the RoC Registration Requirement or register with the SEBI, would

	significantly increase. However, one-off execution of contracts in India is unlikely to create any issues. Position in relation to Funds (including UCITS Funds): No. Position in relation to IMAS: No.
(d) This question 8.10(d) focuses on relationship management and/or investor relations activities, which are conducted between an OFI and an investor once such investor has invested in a Fund and/or engaged the OFI to provide an Investment Management & Advisory Service. Such activities would, for example, involve the OFI: • updating the investor on its existing investments; and/or • providing account statements, transaction reports or periodic reports to the investor. Please confirm whether an OFI would be permitted to conduct such relationship management/investor relations activities: • on a cross-border basis; or • at a Fly-In Meeting in your jurisdiction. Alternatively, please describe any relevant restrictions or considerations that apply, if relevant cross-referring to other sections of the Memorandum. For the purposes of this question, please presume that the marketing/selling activities that underpin the relationship between the OFI and the investor were conducted pursuant to permitted means in your jurisdiction and/or were conducted in another jurisdiction before the investor re-located to your jurisdiction. Please also presume that the relationship management/investor relations activities will not involve any further marketing/selling of other funds/services outside the scope of the existing relationship.	Please see our response above in 6.2(b) and 6.3(b). To clarify, the OFI would be able to have an ongoing relationship with its investor where it has marketed/ provided the Fund or IMAS in accordance with permitted routes (including where the OFI used a locally licensed intermediary on a principal-to-principal basis). However, the OFI should structure its ongoing relationship management/investor relations activities to continue to avoid triggering the Presence in India Rule (or otherwise fulfil the RoC Registration Requirement). Consequently, any relationship management/ investor relations activities with Indian investors (e.g. updating the investor or providing account statements or transaction or other reports and whether providing on a cross-border basis or at a fly-in meeting) should not be undertaken frequently. Similarly, in relation to the SEBI Registration Requirement, the OFI should follow the guidance in 6.3(b) when conducting relationship management/investor relations activities i.e. by limiting the provision of any IMAS Activities to offshore securities, acting in compliance with Exchange Control Restrictions and conducting such activities from outside India.

8.11 Requests for Proposals (RFPs)	
This question 8.11 looks at the scenario where an OFI is asked to respond to a request for proposal , request for information or similar process (an RFP) from an investor in your jurisdiction.	
(a) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of a Fund from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	There are no separate registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of a Fund from an investor in India. However, the OFI would need to ensure it does not trigger the RoC Registration Requirement, RBI Place of Business Rules and registration requirements under SEBI (see further at section 6.2(b) and 6.3(b)). Further, in case the OFI is selected to carry out a Regulated Service, the applicable registration would need to be obtained (see further at section 6.3(b)).
(b) Could the activity of responding to an RFP regarding a Fund fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Yes. This may fall within the scope of permitted “reverse-enquiry” or “reverse solicitation”
(c) Please could you outline whether there are any registration/notification/approval/licensing requirements which apply where an OFI responds to an RFP in respect of an Investment Management & Advisory Service from an investor in your jurisdiction? If appropriate, please cross-refer to other sections of the Memorandum in your response.	Same as section 8.11(a), above.
(d) Could the activity of responding to an RFP regarding an Investment Management & Advisory Service fall within the scope of permitted "reverse-enquiry"/"reverse-solicitation" in your jurisdiction?	Same as section 8.11(b), above
8.12 Relocation of Investor	
(a) What restrictions, if any, might apply where an OFI has an investor that invested in a Fund and/or that received the OFI's Investment Management & Advisory Services while the investor was in another jurisdiction but that investor has now moved into your jurisdiction ?	Conservatively, no restrictions would apply as the investor had invested in Funds while he was an investor abroad and thereafter relocated into India.
(b) Can the OFI continue to service that investor in respect of its original investment/relationship?	Yes, the OFI may continue to service that investor in relation to past investments made when such investor was not in India.

(c) If the OFI wished to conduct further marketing activities in respect of that Fund or Investment Management & Advisory Service with that investor, what considerations would apply? If appropriate, please cross-refer to other sections of the Memorandum in your response.	In our view, marketing activities relating to new investments would need to be viewed conservatively since this may trigger the RoC Registration Requirement, RBI Place of Business Rules and registration requirements under SEBI. Please refer to our response in section 6.2(b) and 6.3(b).
(d) Does the analysis depend on the type of investor that is targeted e.g. Professional Investor, Retail Investor etc?	No, our analysis would not depend on the type of investor.

9. [SECTION INTENTIONALLY LEFT BLANK]

10. LICENCE

Questions	Answers
If a licence is required in order to be able to engage in marketing/selling a Fund or Investment Management & Advisory Services, please explain in outline only :	Please refer to Section 5 (a) in relation to marketing/selling of a Fund. Please refer to Section 6.3 (b) in relation to marketing/selling of IMAS.
(a) The type of licence that would be required;	
(b) What, if any, presence in your jurisdiction the OFI would need to establish in order to obtain the relevant licence, including:	Funds From a practical perspective, an OFI may not require a presence in India for selling of Funds by reverse solicitation (see 5(b)(i) and 6.2(b)). However, the combined effect of the Public Offer Rule and the Rule on Collective Investment Schemes means that it will be unable to actively market or sell the Funds in India, without incorporating a company in India. See further at 8.9(a)(ii), above. IMAS An OFI marketing/selling IMAS (including Investment Advice) outside India with respect to offshore securities (subject to the Presence in India Rule) will not require a place of business in India. An OFI marketing IMAS in India with respect to offshore securities would not be required to set up a place of business in India, subject to the Presence in India Rule. An OFI marketing/selling Investment Advice in India (and on a conservative view, to Indian residents, non-resident Indians or persons of Indian origin outside India) with respect to domestic

	securities would be required to set up a place of business in India, which can be set up either as a liaison office or a branch office or a locally incorporated entity, depending on the activities. An OFI providing IMAS (other than Investment Advice, as to which see above) in India with respect to domestic securities would be required to set up a place of business in India in the form of a locally incorporated entity or branch office. An OFI marketing and/or providing IMAS or Investment Advice with respect to offshore securities with a place of business in India or triggering the Presence in India Rule would be required to either set up a liaison office or a branch office for marketing and a branch office for provision of services. See also at 8.9(a)(ii), above in relation to reverse enquiries. TRAI Regulations To obtain registration with TRAI, it would be necessary to establish a place of business in India i.e. a branch or liaison office or a locally incorporated subsidiary.
(i) any specific legal form requirements (e.g. a local company or a branch);	Please see our response at 9(b), above.
(ii) any requirement to list/register the local presence in a commercial registry or other local register;	Every entity would need to register with the relevant RoC, (which RoC being dependent on the location of the registered office of the entity). Registration with the RBI for a place of business in India would require the OFI to establish a branch office/liaison office or locally incorporated entity in India. Separately, as discussed above, providing any Regulated Services would require the OFI to be locally incorporated and registered with the SEBI and undertake registrations under various labour and employment laws (which depends on various factors including location, number of people engaged by the OFI, etc.)
(iii) any limitations regarding ownership of the local presence;	In respect of any entity carrying out financial services activities which are regulated by financial sector regulators including SEBI, foreign ownership is permitted up to 100% automatically. However, there are conditions such as minimum capitalisation requirements set by the relevant regulators that would need to be adhered to.
(iv) any substance requirements that apply to the local presence;	The OFI would be required to have a registered office and undertake activities for carrying on business such as file necessary forms to show presence.
(v) any requirements regarding locally employed staff (e.g. minimum number of directors and/or employees, any	As per 2013 Companies Act, a minimum of 2 directors are required to incorporate a private company and minimum a 3 of directors in case of incorporation of a public company. However, no minimum requirements have been notified in relation to employees.

qualification or notification requirements that apply in respect of such staff); and	
(vi) indication of time period and approximate costs to set up/establish local presence;	Incorporation of a company in India This process takes around 3 weeks and costs approximately USD 2500 which is in addition to the statutory duty depending on the amount of share capital with which the company is to be incorporated. Registration with RoC: Every foreign company (including an OFI), within 30 days of establishment of place of business in India, is required to deliver Form FC-1 along with, among others, a certified copy of its charter documents, along with information such as full address of principal office of OFI; list of directors; authorised representative of company resident in India; full address of principal place of business in India, and a declaration that none of the directors have ever been convicted or debarred from formation of companies and management in India or abroad. The typical timeframe for registration should be 2-3 months and the approximate registration costs should be within USD 1000. However, this does not include any fee payable to consultants or costs involved in preparation of documents to be submitted along with the registration form. Such companies are required to do annual filings of its financial statements and are required to maintain other prescribed books and registers. The filings fees for registration of documents vary depending on the documents, but are in any case nominal. For more information refer to the following link: https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/rules.html (select Chapter 22 from the drop down and click “Go”) Procedure for establishing a place of business in India The procedure for obtaining the approval from the RBI for establishing a place of business in India is as follows: The OFI has to make an application for establishing a branch office/liaison office in India. The application, in prescribed form with supporting documents, has to be forwarded to the RBI through a designated Category – 1 Authorised Dealer (“AD”) Bank, the domestic bank the OFI intends to pursue banking relations with. Typically, the AD Banks do not charge anything for processing the registration application. However, ancillary costs with respect to fees of consultants and costs involved in preparation of documents to be submitted along with the registration form will be applicable.

	After receiving approval from the RBI, which usually takes 2-3 months the OFI will be granted a Unique Identification Number. It is then required to register with Indian Tax authorities and obtain a Permanent Account Number and obtain registration as a foreign company with the relevant RoC. The OFI can then commence operations in India through such place of business. Please note that there are separate licensing requirements for OFIs that are banks. Foreign banks are required to obtain approval under the provisions of the Banking Regulation Act, 1949, from the Banking Operations and Development Department of the RBI for establishing a branch office in India. Among others, a foreign company obtaining above registration has to file annual activity certificates in prescribed form along with financial statements. Refer paragraph 4 in the following link: https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=10404&fn=5&Mode=0
(c) An outline of the procedure involved in obtaining such licence including an indication of the time it would ordinarily take to obtain such licence; and	Please refer to Section 6.2 (d) with respect to setting up a place of business in India. Registration as Investment Adviser For getting registered with SEBI as an investment advisor, an application for grant of certificate of registration shall be made in Form A as specified in the First Schedule to the IA Regulations along with a non-refundable application fee of INR 5,000 for individuals and firms and INR 25,000 for a body corporate. A registration fee of 10,000 for individuals and firms and INR 5,00,000 in case of a body corporate (OFI) shall also have to be paid at the time of grant of certificate of registration. Also, note that for any entity to apply as an investment adviser, it must have a net worth of INR 50,00,000. A certificate of registration as an investment advisor is valid till it is suspended or cancelled by the SEBI. In order to keep the registration in force, the registered investment advisor would be required to pay a fee of INR 500,000 every 5 years from the date of grant of registration within 3 months before the expiry of the 5 years' period. SEBI endeavours to process an application within 21 days, however, typically due to the clarifications sought the grant of approval may take longer. Registration as Portfolio Manager The procedure for registering as a portfolio manager with the SEBI is as follows: • The OFI will need to make an application to the SEBI for a Certificate of Registration accompanied by a non-refundable application fee of INR 100,000. It should be noted that for applying to register as a Portfolio Manager, the entity must have a net worth of INR 50,000,000.

- If after examining the application, the SEBI is of the opinion that the registration should not be granted, it will communicate such decision within 30 days of such decision.
- No total timeline is prescribed for grant of registration. Typically, the registration process takes 2-3 months.
- Upon approval of its request for registration, the OFI has to make a payment of INR 1,000,000 as registration fee at the time of grant of certificate of registration.

The certificate of registration when granted remains valid till it is suspended or cancelled by the SEBI. In order to keep the registration in force, the OFI would be required to pay a fee of INR 500,000 every 3 years from the date of grant of registration within 3 months before the expiry of the 3 years' period.

Under a circular dated 2 May 2024 issued by SEBI, which came into effect on 1 January 2025, any person or entity involved in the distribution of portfolio management services is also required to obtain registration with the Association of Portfolio Managers of India (APMI). Additionally, registered portfolio managers shall ensure that any person or entity engaged in the distribution of its services has obtained registration with APMI, in accordance with the criteria laid down by APMI. These changes are also reflected in the updated Master Circular on Portfolio Managers.

Registration as Merchant Banker

The process for obtaining registration as a merchant banker is as follows:

- An application for certificate of registration has to be made to the SEBI accompanied by a non-refundable application fee of INR 50,000.
- At the time of grant of certificate of registration, the applicant has to make a payment of INR 2,000,000 as registration fee.
- A merchant banker who has been granted a certificate of registration, to keep its registration in force, has to pay a fee of INR 900,000 every three years from the sixth year from the date of grant of certificate of registration.
- No timeline is prescribed for grant of registration. Typically, the registration process takes 2-3 months.

Registration as Stock Broker

For getting registered with SEBI as a stock broker, an application for grant of certificate of registration shall be made to SEBI through the stock exchange in accordance with the Stock Broker Regulations along with a non-refundable application fee of INR 50,000. A fee of INR 50,000 shall be payable by a clearing member/self-clearing member every year till registration

	comes into force. Additionally, every stock broker shall pay to SEBI a fee in respect of the securities transactions including off-market transactions undertaken by them, at the rates mentioned in the Stock Broker Regulations. A stock broker registered with SEBI may operate in any recognised stock exchange or any segment of the recognised stock exchange subject to the approval of such recognized stock exchange. The process of registration should take approximately 2-3 months. TRAI Regulations To obtain a registration, the applicant has to apply using the prescribed form and pay a registration fee of approximately USD 100. Such registration shall be valid for a period as set out under the TRAI Regulations from time to time. There is no clear timeline on when or how long it would take to obtain a license or renew the registration under the laws issued by TRAI. Please refer to the procedure for registration available at the following link for more details: https://trai.gov.in/advice-to-senders#_5z8t0073tf72
(d) Please specify the approximate costs associated with obtaining such licence (please include initial application cost together with any ongoing fees).	See answer above.

11. PENALTIES/SANCTIONS

Questions	Answers
(a) Is it the competent regulator that enforces the applicable laws and/or another body (e.g. the courts)?	Regulators in India – Different aspects will be governed by different regulators, as set forth below: • SEBI and RBI are the enforcement agencies for the securities market. • For tele-marketing activities, the TRAI acts as the regulator and the enforcement agency (for domestic tele-marketing only). • For exchange control regulation (FEMA), enforcement is carried out by the Directorate of Enforcement.

	- Other than the provisions delegated to SEBI under the 2013 Companies Act, the Central Government, acting through the Ministry of Corporate Affairs administers the 2013 Companies Act - In the event the OFI (having a presence in India) is found to be involved in fraudulent activities, it shall be susceptible to investigation by the Serious Fraud Investigation Office (SFIO) or by other agencies such as the Economic Offences Wing and the Central Bureau of Investigation. Courts and tribunals - However, an aggrieved person may challenge the decision of the regulators. A person has an overarching constitutional right to challenge a decision of a regulator before constitutional courts i.e. the High Courts and the Supreme Court. Such rights can typically be exercised in case of arbitrariness and breach of procedure by the regulator. - Another avenue of challenge is provided under statute and can lie to specifically constituted appellate authorities or to the courts. For e.g. an order of SEBI can be appealed to the Securities Appellate Tribunal constituted under the SEBI Act followed by an appeal to the Supreme Court. An appeal from the decision of RBI can be made to an appellate authority constituted under FEMA, followed by an appeal to the High Court. Special courts (National Company Law Tribunal and National Company Law Appellate Tribunal) are constituted under the CA 2013 for offences and appeal from such courts lie at National Company Law Appellate Tribunal.
(b) Do the possible legal consequences of a breach of applicable laws in relation to the cross-border marketing and sale of Funds and Investment Management & Advisory Services into your jurisdiction include:	A breach of applicable laws may lead to civil penalties and criminal sanctions for the OFI.
(i) criminal sanctions;	The possible legal consequences of breach of applicable laws in relation to cross-border marketing or provision of Products or Services or Advisory & Research Services to an Institutional Client in India includes the following: (i) Criminal sanctions and other sanctions A breach of applicable laws may lead to civil penalties and criminal sanctions for the OFI. Securities Laws: A violation of SEBI Act and the regulations thereunder (for e.g. the Collective Investment Regulations, the IA Regulations, the Merchant Banker Regulations, the FPI Regulations) may lead to imposition of penalties as well as criminal liability both for the OFI and the responsible directors, officers and employees. Violations may lead to criminal sanctions and are punishable with imprisonment that may extend to ten years and a fine of up to INR 250,000,000. There can be civil imprisonment to enforce the orders of adjudicating authorities.

	Foreign Exchange Regulations: Violation of the exchange control regulations (for e.g. setting up a place of business in India without RBI approval) would entail penalties upto three times the sum involved in the contravention (if the sum involved is quantifiable) and up to INR 200,000 if the sum involved is not quantifiable. For ongoing contraventions, a penalty of INR 5,000 per day can be levied additionally. Further every official in charge of the OFI or person responsible for the contravention can be held guilty for such contravention. Violation of CA 2013: Violation of the Presence in India Rule will lead to a penalty of a minimum of INR 100,000 and a maximum of INR 300,000 in addition to a fine INR 50,000 each day for a continuing contravention. Every officer of the OFI who is in default can be punishable with imprisonment for up to 6 months and/or a fine of not less than INR 25,000 and not more than INR 500,000.
(ii) other sanctions (e.g. fines, loss of licence, public censure);	In case of violation of securities laws, SEBI may also debar/ suspend or cancel the registrations, if any, taken by the OFI.
(iii) civil claims;	No.
(iv) the transaction to which the activity relates becoming void or voidable (and if voidable, at whose instigation)?	Under contract law, contracts entered with a client in India in breach of applicable law could be void and the OFI would be subject to claims for restitution by the client.
(c) Please provide details of maximum penalties (e.g. fines). Please state whether these sanctions are applicable to the OFI and/or to directors, officers or employees of the OFI and/or both.	The maximum penalty under the significant laws is illustrated below: (i) Public Offer Rule: In case of trigger of Public Offer Rule, the OFI will have to get a registration with the RoC. On failure to do so, the OFI, its promoters and directors may be subject to a penalty which may extend upto the amount raised or INR 20,000,000 (approximately USD 274,000), whichever is lower. Additionally, the OFI shall also refund all monies with interest as specified in the Act to subscribers within a period of 30 days of the order imposing the penalty. (ii) Presence in India Rule: In case of trigger of the Presence in India Rule, the OFI shall be punishable with fine which shall not be less than INR 100,000 (approximately USD 1370) but which may extend upto INR 300,000 (approximately USD 4100). In case of a continuing offence, an additional fine which may extend to INR 50,000 (approximately USD 684) for every day after the first day during which the contravention continues may be levied. Further, every officer of the foreign company who is in default shall be punishable with fine which shall not be less than INR 25,000 (approximately USD 342) but which may extend to INR 500,000 (approximately USD 6,849) or with both. (iii) FEMA: Under the OFI violating any provisions of FEMA, a penalty up to thrice the sum involved in such contravention where such amount is quantifiable, or up to INR 200,000 where the amount is not quantifiable, and where such contravention is a continuing one, further

	penalty which may extend to INR 5,000 for every day after the first day during which the contravention continues. (iv) SEBI Act: imprisonment that may extend up to 10 years and fines of up to INR 250,000,000 (USD 3,424,657) depending on the nature of the violation.
(d) Please provide the 5 most recent examples (from published reports) of the competent regulator or courts taking action against an OFI in respect of a breach of applicable laws in relation to the cross-border marketing or sale/provision of Funds and Investment Management & Advisory Services to investors in your jurisdiction.	In 2023, US-based investment research firm Hindenburg Research (Hindenberg) published a research report on the Adani Group, which is group with multiple entities listed on Indian stock exchanges. It shared the report with its client Kingdom Capital Management prior to its publication. Publication of the report caused a significant decline in the market value of the Adani Group's listed entities. Hindenburg was not a registered Research Analyst/Research Entity. Since Hindenburg issued a research report without being a registered research analyst, SEBI issued a show cause notice dated 26 June 2024 to Hindenburg to ascertain whether there were any violations of the Research Analyst Regulations. Hindenburg published an online blog post refuting these allegations. On 11 August 2024, SEBI responded by issuing a statement conveying that the matter is ongoing and will be dealt with established procedure and principles of natural justice. Subsequently, in January 2025, the Supreme Court of India dismissed an application for expediting the SEBI's investigation into the case. No significant action has taken place since then. The above shows that SEBI may take suo-moto cognisance of certain violations including those under the Research Analyst Regulations and initiate regulatory action without a formal complaint or petition. Please note that examples of violations of SEBI (Prohibition of Fraudulent and Unfair Trade Practices) Regulations have not been included since the same are out of the scope of the present survey. However, SEBI has taken suo-moto cognisance and issued an interim order against certain offshore entities in the Jane Street Group in respect of their fraudulent and manipulative trading practices in India.
(e) Please comment on: (i) the attitude of the regulator, courts or other body responsible for enforcement of the applicable laws; and (ii) any accepted or tolerated market practice.	Indian regulators are generally considered to have a conservative outlook in terms of administering and enforcing laws. Seeking regulatory approvals for new or innovative methods of operation or business is often time consuming and expensive. Thus, it is always beneficial if new entrants in any given sphere of economic activity adopt established modes and methods of operation. Also, the Indian regulators are known to have a reactionary approach based on public sentiment and political pressure. Due to lack of resources with the regulators in India and practical handicaps the

	regulators may tolerate certain market practices for some time but are also seen to crack down on long standing market practices when such market practices become political issues.
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APPENDIX 1

DISCLAIMERS: OPEN-ENDED FUND

A: WRITTEN DISCLAIMERS

(a) Recommended where an OFI is structuring its offer to avoid the application of the Public Offer Rule:

The offer document/private place memorandum should contain the following disclaimer clause:

The [Fund] has not offered or sold and will not offer or sell in India, by means of any document, any [Shares/Units/Interests] in circumstances which would constitute an offering to the public in India within the meaning of the 2013 Companies Act; and the [Fund] represents and agrees that any document by means of which it offers the [Shares/Units/Interests] will not be generally distributed or circulated in India and will be for the sole consideration and exclusive use of the persons permitted to acquire [Shares/Units/Interests] under Indian law to whom it is issued. This [Offering Document] is strictly personal to the recipient and neither this [Offering Document] nor the [Issuance] is calculated to result, directly or indirectly, in the [Shares/Units/Interests] becoming available for subscription or purchase by persons other than those receiving the invitation or offer. No general solicitation or offering to persons in India is made hereby and this [Offering Document] has not been made available to the public in India.

The [Shares/Units/Interests] have not been approved by the SEBI, Reserve Bank of India or any other regulatory authority of India, nor have the foregoing authorities approved this [Offering Document] or confirmed the accuracy or determined the adequacy of the information contained in this [Offering Document]. This [Offering Document] has not been and will not be registered as a prospectus or a statement in lieu of prospectus with the Registrar of Companies in India.

Prospective investors must seek legal advice as to whether they are entitled to subscribe to the [Shares/Units/Interests] and must comply with all relevant Indian laws in this respect. Each investor is deemed to have acknowledged and agreed that it is eligible to invest in the [Shares/Units/Interests] under applicable laws and regulations and that it is not prohibited under any law or regulation in India from acquiring, owning or selling the [Shares/Units/Interests].

No other disclaimers are required in relation to the Conditions for Permitted Placement of CIS.

(b) Recommended wording to be used where structuring activities to avoid triggering the Presence in India Rule or the RBI Place of Business Rules:

The [name of firm] has no business operations and does not undertake any business activities in India.

(c) Recommended wording to be used where the OFI is not registered with SEBI to provide Regulated IA Services or Regulated Services or as a Research Analyst/Entity.

These materials are for information purposes only. The information contained herein does not constitute investment advice or solicitation in relation to any Indian securities. [Name of firm] is not marketing or providing any services in relation to Indian securities or investment products and provides no comments / advice in relation to securities or investment products listed on a stock exchange in India.

The [name of firm] is not registered with the Securities and Exchange Board of India (“SEBI”) in India.

[Name of firm] is not providing any services requiring registration with the SEBI under its SEBI (Merchant Bankers) Regulations, 1992, SEBI (Portfolio Managers) Regulations, 2020 or the SEBI (Stock-Brokers) Regulations, 1992 or any other applicable law in India.

[Name of firm] is not marketing or providing any services requiring registration with SEBI under its SEBI (Research Analysts) Regulations 2014 or SEBI (Investment Advisers) Regulations 2013 or any other applicable law in India.

Investors availing investment advice or related services acknowledge and confirm that they understand the nature of these offshore investments, including the associated risks, and that such investments/services fall outside SEBI's regulatory purview. Investors further acknowledge and confirm that they are making investment decisions at their own discretion and risk.

(d) Recommended wording for use in relation to the Exchange Control Restrictions:

Prospective investors must seek legal advice as to whether they are entitled to subscribe to the [Shares/Units/Interests] and must comply with all relevant Indian laws in this respect. Each investor is deemed to have acknowledged and agreed that it is eligible to invest in the [Shares/Units/Interests] under applicable laws and regulations and that it is not prohibited under any law or regulation in India from acquiring, owning or selling the [Shares/Units/Interests].

Even though the obligation to comply with Exchange Control Restrictions falls on the resident Indian purchaser, it is common to obtain a confirmation that these regulations have been complied with. In practice, this confirmation is obtained through a representation included in the legend.

(e) In addition, it is recommended that the OFI clearly disclaim any and all liability for any contravention of Indian regulations by clients.

It is clarified that [Fund] shall have no responsibility or liability for any act, omission, or contravention of all applicable Indian laws by any Client. The Clients remain solely responsible for ensuring compliance with all applicable Indian laws, rules, and regulations, including those administered by the Securities and Exchange Board of India ("SEBI").

B: ORAL DISCLAIMERS

See Appendix 1.A, which is also applicable here (albeit the information should be stated verbally) other than that the disclaimers applicable in relation to the Public Offer Rule should not solely be provided verbally but should also be in writing.

C: DISCLAIMERS – RETAIL INVESTORS

The regime set out in this Memorandum applies equally to the marketing and selling of Funds by an OFI to a Retail Investor. In particular, the Conditions for Permitted Private Placement of CIS require subscription in a Fund to be limited to high-net-worth individuals, institutional investors and corporations. It is not recommended for an OFI to market/sell a Fund to Retail Investors. The approach of regulators will be more proactive and conservative where Retail Investors are the OFI's target audience. Local counsel recommends establishing a place of business in India and obtaining relevant registrations or using a licensed intermediary (on a principal-to-principal basis) when undertaking marketing/selling to Retail Investors.

However, if the OFI seeks to market/sell Funds to Retail Investors Clients, the disclaimers at Appendix 1.A should be included.

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

Not Applicable.

APPENDIX 2

DISCLAIMERS: CLOSED-ENDED FUND

A: WRITTEN DISCLAIMERS - PPR

See Appendix 1.A.

B: ORAL DISCLAIMERS - PPR

See Appendix 1.B.

C: DISCLAIMERS – RETAIL INVESTORS

See Appendix 1.C.

D: DISCLAIMERS – MARKETING PASSPORT/MUTUAL RECOGNITION SCHEME

Not Applicable.

APPENDIX 3

DISCLAIMERS: INVESTMENT MANAGEMENT & ADVISORY SERVICES

A: WRITTEN DISCLAIMERS

- (a) **Recommended wording to be used where the OFI is not registered with the SEBI as a provider of Regulated Services or Regulated IA Services or as a Research Analyst/Entity and is not providing Regulated Research Services:**

These materials are for information purposes only. The information contained herein does not constitute investment advice or solicitation in relation to any Indian securities. [Name of firm] is not marketing or providing any services in relation to Indian securities or investment products and makes no comments / advice in relation to securities or investment products listed on a stock exchange in India.

The [name of firm] is not registered with the Securities and Exchange Board of India (“SEBI”) in India.

[Name of firm] is not providing any services requiring registration with the SEBI under its SEBI (Merchant Bankers) Regulations, 1992, SEBI (Portfolio Managers) Regulations, 2020 or the SEBI (Stock-Brokers) Regulations, 1992 or any other applicable law in India.

[Name of firm] is not marketing or providing any services requiring registration with SEBI under its SEBI (Research Analysts) Regulations 2014 or SEBI (Investment Advisers) Regulations 2013 or any other applicable law in India.

Investors availing investment advice or related services acknowledge and confirm that they understand the nature of these offshore investments, including the associated risks, and that such investments/services fall outside SEBI’s regulatory purview. Investors further acknowledge and confirm that they are making investment decisions at their own discretion and risk.

- (b) **Recommended wording to be used where structuring activities to avoid triggering the Presence in India Rule or the RBI Place of Business Rules:**

See Appendix 1.A at (b).

- (c) **Recommended wording to be used where an OFI has executed any orders/transactions outside India for an Indian client:**

If this contract or the order is brought subsequently in India, adequate stamp duty as per Indian laws would have to be paid.

- (d) **Recommended wording for use in relation to the Exchange Control Restrictions:**

Prospective investors must seek legal advice as to whether they are entitled to avail the [Services] and must comply with all relevant Indian laws in this respect. Each investor is deemed to have acknowledged and agreed that it is eligible to avail the [Services] under applicable laws and regulations and that it is not prohibited under any law or regulation in India from availing the [Services].

Even though the obligation to comply with Exchange Control Restrictions falls on the resident Indian purchaser, it is common to obtain a confirmation that these regulations have been complied with. In practice, this confirmation is obtained through a representation included in the legend.

- (e) **In addition, it is recommended that the OFI clearly disclaim any and all liability for any contravention of Indian regulations by clients.**

See Appendix 1.A at (e).

B: ORAL DISCLAIMERS

See Appendix 3.A, which is also applicable here (albeit the information should be stated verbally).

C: DISCLAIMERS – RETAIL INVESTORS

The regime set out in this Memorandum applies equally to the marketing and selling of IMAS by an OFI to a Retail Investor. However, the approach of regulators will be more proactive and conservative where Retail Investors are the OFI's target audience. Local counsel recommends establishing a place of business in India and obtaining relevant registrations or using a licensed intermediary (on a principal-to-principal basis) when undertaking marketing/selling to Retail Investors.

However, if the OFI seeks to market/sell Funds to Retail Investors Clients, the disclaimers at Appendix 3.A should be included.

APPENDIX 4**DISCLAIMERS: OTHER****A: GENERAL MARKETING DISCLAIMER**

See Appendix 4.B below on non-targeted websites, which would also apply here.

B: INTERNET DISCLAIMER

Non-targeted websites: A general marketing website not specifically targeted towards Indian investors would not be considered to be aimed or projected at India and would place the OFI outside the jurisdiction of Indian regulators and courts, provided it is 'passive' (see s. 8.5(b)).

However, in relation to interactive websites, Counsel recommend that the website carry a disclaimer to the effect that:

- that the OFI is not carrying out business in India and has no business operations in India;
- information available on its website is for informational purposes only and not concluding any commercial transactions;
- the website is not meant for Indian users;
- the [name of firm] is not registered with any regulator in India and any services provided will not be provided in relation to Indian securities/investment products;
- nothing on the website should be construed as research, advice or opinion under the SEBI (Research Analysts) Regulations 2014 or investment advice regulated under the SEBI (Investment Advisors) Regulations 2013 or any other applicable laws in India.

See further at section. 8.5(b), (c), (f) and (g). In particular, an OFI should ensure that Indian Clients cannot undertake commercial transactions on the website.

See also Appendix 1-3 above for guidance on disclaimer language when marketing via non-targeted internet/social media depending on whether the marketing relates to Funds or IMAS.

Non-targeted social media: see also section 8.5(b).

Targeted interactive websites: A targeted interactive website may bring the OFI within the jurisdiction of the Indian courts and trigger the restrictions discussed in this Memorandum. See further section 8.5(b).

C: VIRTUAL MARKETING - DISCLAIMER

See Appendix 4.B above on non-targeted websites, which would also apply here.